

COMPLETE LEARNING SESSION

GST Council - Learner-v2 Refreshed

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

GST Council	
REFRESHED TEACHING NAVIGATION — BASIC/CORE FIRST	
01	WHY DID INDIA NEED A GST COMPACT? Why Did India Need A Gst Compact? connects Articles 246A, 269A or
02	THE 101ST AMENDMENT: CONSTITUTIONAL SURGERY, NOT A SINGLE TAX RATE The 101st Amendment: Constitutional Surgery, Not A Single Tax Rate
03	ARTICLE 246A: A SPECIAL SHARED TAXING POWER Article 246A: A Special Shared Taxing Power connects Articles 246A,
04	ARTICLE 269A: IGST AND THE INTER-STATE BRIDGE Article 269A: Igst And The Inter-State Bridge connects Articles 246A,
05	ARTICLE 279A: EXACT COMPOSITION AND INSTITUTIONAL SUPPORT Article 279A: Exact Composition And Institutional Support connects
06	WHAT EXACTLY MAY THE COUNCIL RECOMMEND? What Exactly May The Council Recommend? connects Articles 246A,
07	FROM PROPOSAL TO LEGAL EFFECT From Proposal To Legal Effect connects Articles 246A, 269A or 279A
08	QUORUM, WEIGHTED VOTING AND COALITION ARITHMETIC Quorum, Weighted Voting And Coalition Arithmetic connects Articles
09	PROCEDURE, RECORDS AND INSTITUTIONAL ACCOUNTABILITY Procedure, Records And Institutional Accountability connects Articles
10	GST MECHANICS THE COUNCIL INFLUENCES BUT DOES NOT ITSELF LEVY Gst Mechanics The Council Influences But Does Not Itself Levy
11	CONSTITUTIONAL AND STATUTORY BOUNDARIES: ALCOHOL, PETROLEUM AND Constitutional And Statutory Boundaries: Alcohol, Petroleum And
12	GST COMPENSATION: THE TRANSITION BARGAIN Gst Compensation: The Transition Bargain connects Articles 246A,
13	UNION OF INDIA V. MOHIT MINERALS (2022) The Mohit Minerals doctrine distinguishes persuasive Article 279A
14	COOPERATIVE, COMPETITIVE AND CONFRONTATIONAL FEDERALISM Cooperative, Competitive And Confrontational Federalism connects
15	RECURRING CONFLICTS AND ARTICLE 279A(11) Recurring Conflicts And Article 279A(11) connects Articles 246A, 269A
16	INSTITUTIONAL COMPARISON Institutional Comparison connects Articles 246A, 269A or 279A to
17	ACCOUNTABILITY AND REFORM AGENDA Accountability And Reform Agenda connects Articles 246A, 269A or

Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM 62

Polity 30 - GST Council - Complete Topic Package

Control date: 28 August 2026, Asia/Kolkata **Tags:** [FACT] directly supported by a named constitutional, statutory, judicial, official or audited local source; [ANALYSIS] reasoned exam use; [CURRENT] date-sensitive position; [LIMIT] qualification, boundary or uncertainty. **Answer discipline:** claim -> named evidence -> analysis -> qualification. **Scope:** the pre-GST problem; Constitution (One Hundred and First Amendment) Act, 2016; Articles 246A, 269A and 279A; composition, recommendations, procedure and voting; legislation and delegated notification; rates, exemptions, input-tax credit and inverted duty; compensation; *Union of India v. Mohit Minerals*; fiscal federalism; institutional comparison; accountability, disputes and reform.

Package method, source priority and legal-current control

- [FACT] Local-first sequence followed: Polity/basic/GST-Council.md -> Polity/advanced/30_GST-Council.md -> Polity owners for Finance Commission, Centre-State Relations, constitutional amendment and Parliament -> Economy taxation/GST/fiscal-federalism owner -> audited PYQ routing and integration ledgers.
- [FACT] Polity packages 27, 28 and 29 were used only as structural, visual and validation references. Their subject content has not been imported.
- [FACT] The constitutional text was controlled against the Legislative Department's official consolidation and the official Gazette text of the Constitution (One Hundred and First Amendment) Act, 2016.
- [FACT] The institutional holding was controlled against the Supreme Court's official judgment dated 19 May 2022 in *Union of India v. Mohit Minerals Pvt. Ltd.*, Civil Appeal No. 1390 of 2022.
- [FACT] The compensation design was controlled against the official Gazette text of the Goods and Services Tax (Compensation to States) Act, 2017.
- [CURRENT] The latest official Council-meeting release located for this export was the Ministry of Finance/PIB release for the **56th GST Council meeting dated 3 September 2025**. The official GST Council newsletter archive located an **April 2026** issue, but no later official meeting recommendation release was established by the control date.
- [CURRENT] The 56th meeting officially recommended a broad **5 per cent merit rate, 18 per cent standard rate and 40 per cent special de-merit rate**, with most announced changes intended from 22 September 2025. This package does **not** freeze a commodity-wise current rate list: the legal rate for a supply must be read from the applicable statute and Gazette notification.
- [CURRENT] The April 2026 GST Council Secretariat newsletter records Notification No. 01/2026-Central Tax (Rate), dated 30 April 2026, as an amendment issued on Council recommendation under sections 9(1) and 15(5) of the CGST Act. It is evidence of the recommendation-to-notification chain, not evidence of a new Council meeting.
- [LIMIT] No verified official public instrument establishing a complete adjudicatory mechanism under Article 279A(11) was located. Existing Council committees, political negotiation, taxpayer appeals and GSTAT must not be silently relabelled as that intergovernmental constitutional mechanism.
- [LIMIT] No 2026 meeting number, fresh rate package, exact compensation-cess end date or volatile commodity list is asserted without an official instrument.

Authoritative evidence board

Named evidence	Claim controlled
Constitution of India, Articles 246A, 269A, 279A, 366(12A), Seventh Schedule	competence, inter-State GST, Council, alcohol/petroleum/electricity boundaries
Constitution (One Hundred and First Amendment) Act, 2016	constitutional insertion, omission/substitution and five-year compensation direction
GST Council Procedure and Conduct of Business Regulations	duly constituted meeting, proposal handling, voting, minutes and Vice-Chair procedure

Named evidence	Claim controlled
CGST Act, 2017, sections 7, 9, 11, 16 and 49	levy, notification, exemption and credit interaction
GST (Compensation to States) Act, 2017, sections 2-8 and 10	five-year transition, 14 per cent projected growth, base year and cess fund
<i>Union of India v. Mohit Minerals</i> (2022)	persuasive Council recommendations; simultaneous legislative power; statutory limits on delegated action
Official 56th GST Council press release and FAQ, 3 September 2025	latest located meeting recommendation and implementation caution
GST Council Secretariat Newsletter, April 2026	current example of Council recommendation implemented through notification
Audited local PYQ ledgers	exact routing status, year, paper, question number and key limitation

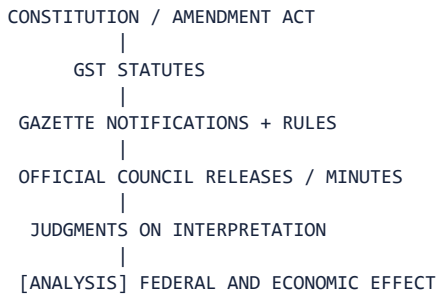
Official links used for current control

- Legislative Department, Constitution: <https://legislative.gov.in/documents/constitution-of-india>
- GST Council, constitutional/institutional page: <https://gstcouncil.gov.in/en/gst-council>
- GST Council, conduct regulations: https://gstcouncil.gov.in/sites/default/files/2024-09/procedure_conduct_business.pdf
- Supreme Court judgment: https://api.sci.gov.in/supremecourt/2020/23083/23083_2020_4_1501_35969_Judgement_19-May-2022.pdf
- GST Compensation Act: <https://gstcouncil.gov.in/sites/default/files/2024-03/gst-compensation-to-states-act-2017.pdf>
- 56th meeting release: https://gstcouncil.gov.in/sites/default/files/2025-09/press_release_press_information_bureau.pdf
- 56th meeting FAQ: <https://gstcouncil.gov.in/sites/default/files/2025-09/faq.pdf>
- GST Council newsletters: <https://gstcouncil.gov.in/en/gst-council-newsletter>

Roadmap

Stage	Units	Exam outcome
Foundation	pre-GST fragmentation, cascading and destination principle	explain why GST required constitutional change
Architecture	101st Amendment; Articles 246A, 269A and 279A	separate competence, allocation and coordination
Institution	composition, recommendations, Secretariat and procedure	solve close constitutional options
Decision	quorum, weighted vote, consensus and coalition arithmetic	explain the federal bargain precisely
Tax mechanics	statutes, notifications, rates, ITC, exemptions and inverted duty	prevent institution-tax confusion
Transition	compensation, cess, June 2022 end and loan servicing	write fiscal-trust answers safely
Doctrine	<i>Mohit Minerals</i> and delegated action	state “non-binding” without making the Council irrelevant
Evaluation	autonomy, common market, disputes and reform	build balanced GS-II/GS-III answers
Workbook	verified PYQs, 48 rotated MCQs and eight solved Mains	convert doctrine into marks

Visual 1 - Source and claim-control ladder



Caption: A Council recommendation is evidence of policy agreement; the applicable legal obligation may require a statute, rule or notification.

BASIC LEARNING SESSION



Refreshed teaching navigation

Distinct embedded teaching-navigation image. The separate continuous Cārvāka-style flowchart package remains an independent at-a-glance artifact.

SESSION 1 - WHY DID INDIA NEED A GST COMPACT?

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Why Did India Need A Gst Compact? explains the GST constitutional rule in accessible federal terms.

Technical definition: Why Did India Need A Gst Compact? connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Why Did India Need A Gst Compact? shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- india

- need
- compact
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through india; define need, connect compact with GST Council to explain the mechanism, and use Article 279A for the decisive comparison or qualification.

[FACT] Before GST, the Union and States imposed different indirect taxes under separate constitutional entries. Central excise generally attached to manufacture, service tax to taxable services, State VAT to sale, Central Sales Tax to inter-State sale, and entry tax/octroi to entry into local areas.

[ANALYSIS] Multiple taxable events, non-creditable levies and border procedures fragmented the value chain. A national value-added tax required more than an ordinary Union law because the Constitution had distributed tax fields between different legislatures.

[LIMIT] “One Nation, One Tax” is a political shorthand. GST is a dual levy implemented through Central, State/Union-territory and Integrated GST laws, with important taxes and supplies outside or deferred from the core system.

Visual 2 - Pre-GST tax maze

```

FACTORY
|-- Central excise at manufacture
|
WHOLESALE
|-- State VAT / CST at sale
|
CITY BORDER
|-- entry tax / octroi
|
SERVICE INPUT
|-- service tax
|
CONSUMER
+-- embedded tax-on-tax where cross-credit failed

```

Caption: The constitutional problem was not merely “many rates”; it was divided tax competence plus broken credit chains.

Visual 3 - Cascading versus value-added credit

Stage	Without full credit	With GST-style credit
input	tax becomes cost	eligible tax enters electronic credit
production	tax may be charged on cost including earlier tax	output liability less eligible input credit
distribution	repeated embedded burden	tax follows value added
consumer	opaque cumulative incidence	invoice-based destination levy, subject to compliance

[ANALYSIS] Input-tax credit (ITC) reduces cascading only where the law permits credit and the taxpayer satisfies conditions. Exempt supplies, blocked credits, invoice mismatches and rate inversions can interrupt the ideal chain.

Visual 4 - Origin-to-destination shift

PRODUCTION STATE ---- goods/services ----> CONSUMPTION STATE
old concern: origin-linked revenue

GST DESIGN:

tax travels through invoice and settlement architecture

|
v

revenue significance moves toward final consumption destination

[FACT] Article 269A supports this destination logic for inter-State supplies by placing levy and collection with the Government of India and requiring apportionment between Union and States under parliamentary law on Council recommendation.

Visual 5 - Major pre-GST levies and post-GST location

Pre-GST levy family	Broad post-GST treatment	Qualification
central excise on most goods	subsumed into GST	retained constitutional field for specified petroleum and tobacco goods
service tax	subsumed	services now within supply-based GST
State VAT/sales tax on most goods	subsumed	retained for specified petroleum and alcoholic liquor for human consumption
CST	replaced operationally by IGST settlement	inter-State supply uses Article 269A architecture
entry tax/octroi	largely subsumed	local-government revenue consequences remain
luxury/entertainment taxes	largely subsumed	local-body entertainment/amusement taxation survives within narrowed Entry 62
basic customs duty	not GST	IGST may additionally apply on imports
stamp duty and electricity duty	not subsumed as GST levies	remain under their constitutional/statutory fields

CLOSING RECALL FLOW - WHY DID INDIA NEED A GST COMPACT?

START / CONCEPT: WHY DID INDIA NEED A GST COMPACT?

|

v

EXACT TERMS: india · need · compact · GST Council · Article 279A · fiscal federalism · legal effect

|

v

MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.

|

v

CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.

|

v

UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.

|

v

ANSWER-GRABBING FORMULATION: Why Did India Need A Gst Compact? shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

SESSION 2 - THE 101ST AMENDMENT: CONSTITUTIONAL SURGERY, NOT A SINGLE TAX RATE

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The 101st Amendment: Constitutional Surgery, Not A Single Tax Rate explains the GST constitutional rule in accessible federal terms.

Technical definition: The 101st Amendment: Constitutional Surgery, Not A Single Tax Rate connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The 101st Amendment: Constitutional Surgery, Not A Single Tax Rate shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- 101st
- amendment
- constitutional
- surgery
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through 101st; define amendment, connect constitutional with surgery to explain the mechanism, and use GST Council for the decisive comparison or qualification.

[FACT] The Constitution (One Hundred and First Amendment) Act, 2016 created the enabling architecture. It inserted Articles 246A, 269A and 279A, inserted the GST definition in Article 366(12A), altered tax-distribution provisions and changed relevant Seventh Schedule entries.

[FACT] The Amendment omitted Article 268A, which had dealt with service tax, and reworked Union and State tax entries to accommodate the supply-based GST design.

[FACT] Section 18 of the Amendment directed Parliament, by law and on Council recommendation, to provide compensation to States for GST-related revenue loss for five years.

[LIMIT] The Amendment did not itself enact every GST rate, exemption, compliance rule or compensation calculation. Those came through legislation and delegated instruments.

Visual 6 - Before-and-after constitutional map

BEFORE 2016

exclusive tax entries + service-tax Article 268A

|
v

101st AMENDMENT

- |-- Article 246A: shared GST competence
- |-- Article 269A: inter-State levy/apportionment
- |-- Article 279A: joint Council
- |-- Article 366(12A): GST definition
- +-- Seventh Schedule and revenue-distribution changes

Visual 7 - The three-article triangle

Article	Core question answered	One-line recall
246A	Who may legislate on GST?	Parliament and States simultaneously; Parliament exclusive for inter-State supply
269A	Who levies/collects and how is inter-State GST shared?	Union collection plus statutory apportionment
279A	Where do Union and States negotiate GST design?	constitutional Council making recommendations

Caption: Competence, inter-State allocation and coordination are related but legally distinct.

Visual 8 - Selected legal surgery

Amendment move	Significance	Exam caution
inserted Article 246A	created special shared legislative field	not an ordinary Concurrent List entry
omitted Article 268A	displaced separate service-tax architecture	do not quote it as current
inserted Article 269A	constitutionalised IGST apportionment	Parliament legislates place-of-supply principles
inserted Article 279A	created Council	body recommends; it does not replace legislatures
amended Article 368 proviso	alteration of Article 279A enters State-ratification field	shows federal significance
amended Article 366	defined GST; excluded alcohol for human consumption	petroleum is treated differently
changed Entries 84 and 54	preserved specified petroleum/tobacco and alcohol fields	not every old indirect tax vanished

CLOSING RECALL FLOW - THE 101ST AMENDMENT: CONSTITUTIONAL SURGERY, NOT A SINGLE TAX RATE

START / CONCEPT: THE 101ST AMENDMENT: CONSTITUTIONAL SURGERY, NOT A SINGLE TAX RATE

|
v

EXACT TERMS: 101st • amendment • constitutional • surgery • GST Council • Article 279A • fiscal federalism • legal effect

|
v

MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.

|
v

CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.

|
v

UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.

|
v

ANSWER-GRABBING FORMULATION: The 101st Amendment: Constitutional Surgery, Not A Single Tax Rate

shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

SESSION 3 - ARTICLE 246A: A SPECIAL SHARED TAXING POWER

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Article 246A: A Special Shared Taxing Power explains the GST constitutional rule in accessible federal terms.

Technical definition: Article 246A: A Special Shared Taxing Power connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Article 246A: A Special Shared Taxing Power shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- article
- 246a
- special
- shared
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through article; define 246a, connect special with shared to explain the mechanism, and use GST Council for the decisive comparison or qualification.

[FACT] Article 246A(1), notwithstanding Articles 246 and 254, gives Parliament and, subject to clause (2), every State legislature power to make laws on GST imposed by the Union or the State.

[FACT] Article 246A(2) gives Parliament exclusive power over GST where the supply takes place in the course of inter-State trade or commerce.

[ANALYSIS] This is a constitutional pooling of tax sovereignty. It differs from a normal Concurrent List subject because Article 246A is a stand-alone competence and the ordinary Article 254 repugnancy template is not simply imported into it.

[LIMIT] Simultaneous legislative power does not mean identical territorial or transaction fields. State GST laws govern intra-State supplies within their constitutional reach; Parliament owns inter-State GST.

Visual 9 - Article 246A competence grid

Supply field	Parliament	State legislature
intra-State GST	yes	yes, for State GST
inter-State GST	exclusive	no independent inter-State GST law
specified petroleum before recommended date	constitutional/statutory levy deferred	existing non-GST fields continue
alcohol for human consumption	outside GST definition	State excise/sales-tax fields remain

CLOSING RECALL FLOW - ARTICLE 246A: A SPECIAL SHARED TAXING POWER

START / CONCEPT: ARTICLE 246A: A SPECIAL SHARED TAXING POWER

|
v

EXACT TERMS: article · 246a · special · shared · GST Council · Article 279A · fiscal federalism · legal effect

|
v

MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.

|
v

CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.

|
v

UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.

|
v

ANSWER-GRABBING FORMULATION: Article 246A: A Special Shared Taxing Power shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

SESSION 4 - ARTICLE 269A: IGST AND THE INTER-STATE BRIDGE

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Article 269A: Igst And The Inter-State Bridge explains the GST constitutional rule in accessible federal terms.

Technical definition: Article 269A: Igst And The Inter-State Bridge connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Article 269A: Igst And The Inter-State Bridge shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- article
- 269a
- igst
- inter
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through article; define 269a, connect igst with inter to explain the mechanism, and use GST Council for the decisive comparison or qualification.

[FACT] Article 269A(1) provides that GST on inter-State supplies is levied and collected by the Government of India and apportioned between Union and States in the manner Parliament provides by law on Council recommendation.

[FACT] Imports are deemed inter-State supplies for this purpose. Parliament may formulate place-of-supply principles under Article 269A(5).

[ANALYSIS] IGST is a clearing bridge rather than a separate final destination burden. Credit and settlement seek to transfer revenue to the jurisdiction of consumption while allowing inter-State trade without an origin-State tax barrier.

Visual 10 - Simplified IGST settlement flow

```

SUPPLIER IN STATE A
|
charges IGST on inter-State supply
|
Government of India collection / credit mechanism
|
place-of-supply + settlement rules
|
DESTINATION STATE B receives apportioned revenue significance
  
```

[LIMIT] The exact settlement calculation is statutory and system-based. A constitutional answer should not invent accounting formulae.

Visual 11 - Three legal layers

Layer	Example	Function
Constitution	Articles 246A, 269A, 279A	competence and federal structure
primary legislation	CGST, SGST, IGST, Compensation Acts	charge, liability, credit, procedure and remedies
delegated law	rate/exemption notifications and rules	operational rate, class, condition and date

CLOSING RECALL FLOW - ARTICLE 269A: IGST AND THE INTER-STATE BRIDGE

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START / CONCEPT: ARTICLE 269A: IGST AND THE INTER-STATE BRIDGE
|
v
EXACT TERMS: article · 269a · igst · inter · GST Council · Article 279A · fiscal federalism · legal
effect
|
v
MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-
settlement route, and distinguish policy agreement from enforceable law.
|
v
CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy,
compliance and federal accountability.
|
v
UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory
liability, compensation entitlement or taxpayer appeal.
|
v
ANSWER-GRABBING FORMULATION: Article 269A: Igst And The Inter-State Bridge shows how pooled tax
sovereignty operates through constitutional competence, negotiation and statute.
  
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SESSION 5 - ARTICLE 279A: EXACT COMPOSITION AND INSTITUTIONAL SUPPORT

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Article 279A: Exact Composition And Institutional Support explains the GST constitutional rule in accessible federal terms.

Technical definition: Article 279A: Exact Composition And Institutional Support connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Article 279A: Exact Composition And Institutional Support shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- article
- 279a
- exact
- composition
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through article; define 279a, connect exact with composition to explain the mechanism, and use GST Council for the decisive comparison or qualification.

[FACT] The constitutional membership is:

1. Union Finance Minister - Chairperson;
2. Union Minister of State in charge of Revenue or Finance - Member; and
3. Minister in charge of Finance or Taxation, or another Minister nominated by each State Government - Members.

[FACT] State members choose one among themselves as Vice-Chairperson for such period as they decide.

[LIMIT] Article 279A does not constitutionally create a permanent, separately independent Secretariat. The Union Cabinet approved a GST Council Secretariat in New Delhi; the Secretary (Revenue) is ex-officio Secretary and the CBIC Chairperson is a permanent non-voting invitee. These are administrative arrangements, not additional constitutional voting members.

Visual 12 - Exact membership map

UNION FINANCE MINISTER ----- Chairperson
UNION MoS, REVENUE OR FINANCE ----- Member
ONE FINANCE/TAX/NOMINATED MINISTER
FROM EACH STATE GOVERNMENT ----- State members
|
+-- choose Vice-Chair

Visual 13 - Constitution versus administrative support

Feature	Source	Voting status
Union Finance Minister	Article 279A(2)(a)	Union vote
Union MoS Revenue/Finance	Article 279A(2)(b)	part of Central representation
State minister/nominated minister	Article 279A(2)(c)	State vote
Vice-Chair	Article 279A(3), chosen by State members	remains a State member
Revenue Secretary as ex-officio Secretary	Cabinet/administrative arrangement	no additional vote
CBIC Chair as permanent invitee	Cabinet/administrative arrangement	non-voting
Council Secretariat	Cabinet/administrative arrangement	institutional support, not constitutional fourth tier

CLOSING RECALL FLOW - ARTICLE 279A: EXACT COMPOSITION AND INSTITUTIONAL SUPPORT

START / CONCEPT: ARTICLE 279A: EXACT COMPOSITION AND INSTITUTIONAL SUPPORT

|

v

EXACT TERMS: article · 279a · exact · composition · GST Council · Article 279A · fiscal federalism
· legal effect

|

v

MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.

|

v

CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.

|

v

UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.

|

v

ANSWER-GRABBING FORMULATION: Article 279A: Exact Composition And Institutional Support shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

SESSION 6 - WHAT EXACTLY MAY THE COUNCIL RECOMMEND?

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: What Exactly May The Council Recommend? explains the GST constitutional rule in accessible federal terms.

Technical definition: What Exactly May The Council Recommend? connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

What Exactly May The Council Recommend? shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- exactly
- council
- recommend
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through exactly; define council, connect recommend with GST Council to explain the mechanism, and use Article 279A for the decisive comparison or qualification.

[FACT] Article 279A(4) lists recommendation fields. The Council does not acquire a general power to legislate merely because an issue affects GST.

Visual 14 - Eight recommendation buckets

Bucket	Exact constitutional subject
1	Union, State and local-body taxes, cesses and surcharges that may be subsumed
2	goods and services that may be subjected to or exempted from GST
3	model GST laws, levy principles, Article 269A apportionment and place of supply
4	threshold turnover below which goods and services may be exempted
5	rates, including floor rates with bands
6	special rates for a specified period during natural calamity or disaster
7	special provisions for the States named in clause (4)(g)
8	any other GST-related matter the Council decides

[FACT] Article 279A(5) separately requires the Council to recommend the date on which GST is levied on petroleum crude, high-speed diesel, petrol, natural gas and aviation turbine fuel.

Visual 15 - Petroleum is deferred, not constitutionally banished

SPECIFIED PETROLEUM PRODUCTS

|
currently taxed through retained Union/State fields

|
Article 279A(5): Council recommends GST start date

|
CGST section 9(2): Government notifies date on Council recommendation

|
GST applies from legally effective date

[LIMIT] “Petroleum is permanently outside GST” is wrong. Equally, “all petroleum products are already under GST” is wrong.

CLOSING RECALL FLOW - WHAT EXACTLY MAY THE COUNCIL RECOMMEND?

START / CONCEPT: WHAT EXACTLY MAY THE COUNCIL RECOMMEND?

|
v
EXACT TERMS: exactly · council · recommend · GST Council · Article 279A · fiscal federalism · legal effect

|
v
MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.

|
v
CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.

|
v
UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.

|
v
ANSWER-GRABBING FORMULATION: What Exactly May The Council Recommend? shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

SESSION 7 - FROM PROPOSAL TO LEGAL EFFECT

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: From Proposal To Legal Effect explains the GST constitutional rule in accessible federal terms.

Technical definition: From Proposal To Legal Effect connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

From Proposal To Legal Effect shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- from
- proposal
- legal
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through from; define proposal, connect legal with GST Council to explain the mechanism, and use Article 279A for the decisive comparison or qualification.

[FACT] Council regulations allow proposals from members, circulation of agenda material, discussion, voting where required, recording of proceedings and confirmation of minutes.

[ANALYSIS] The Council's central output is a negotiated recommendation. Legal effect then depends on the constitutional/statutory route: parliamentary or State legislation, amendment of rules, or a Gazette notification by the competent government.

Visual 16 - Recommendation workflow



Visual 17 - Who does what?

Actor	Constitutional/statutory role	Cannot be confused with
GST Council	recommends common design	Parliament or State legislature
Parliament	enacts CGST/IGST and related law	Council Secretariat
State legislature	enacts SGST law	Finance Commission
Union/State government	issues delegated notifications where authorised	primary legislature
CBIC/State tax administration	administers and enforces law	Council's weighted vote
courts/tribunals	interpret and review legal action	rate-setting political forum

Visual 18 - Legal-effect ladder

COUNCIL RECOMMENDATION

```

|
+-- if primary law needed -> legislature -> Act/amendment
|
+-- if delegated power exists -> government -> Gazette notification/rule
|
+-- if administrative/system step -> competent executive/GSTN process

```

[LIMIT] A press release announcing a recommendation is not by itself the safest source for the rate payable on a transaction. Use the applicable notification and effective date.

CLOSING RECALL FLOW - FROM PROPOSAL TO LEGAL EFFECT

START / CONCEPT: FROM PROPOSAL TO LEGAL EFFECT

```

|
v
EXACT TERMS: from . proposal . legal . GST Council . Article 279A . fiscal federalism . legal effect
|
v
MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-
settlement route, and distinguish policy agreement from enforceable law.
|
v
CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy,
compliance and federal accountability.
|
v
UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory
liability, compensation entitlement or taxpayer appeal.
|
v
ANSWER-GRABBING FORMULATION: From Proposal To Legal Effect shows how pooled tax sovereignty
operates through constitutional competence, negotiation and statute.

```

SESSION 8 - QUORUM, WEIGHTED VOTING AND COALITION ARITHMETIC

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Quorum, Weighted Voting And Coalition Arithmetic explains the GST constitutional rule in accessible federal terms.

Technical definition: Quorum, Weighted Voting And Coalition Arithmetic connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Quorum, Weighted Voting And Coalition Arithmetic shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- quorum
- weighted
- voting
- coalition
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through quorum; define weighted, connect voting with coalition to explain the mechanism, and use GST Council for the decisive comparison or qualification.

[FACT] One-half of the total Council membership constitutes quorum.

[FACT] A decision requires not less than three-fourths of the weighted votes of members present and voting. The Central Government carries one-third of the votes cast; all State Governments together carry two-thirds.

[ANALYSIS] The design gives the Union a blocking position because States alone can reach only two-thirds, below three-fourths. It does not give the Union a passing position because one-third is far below three-fourths.

Visual 19 - Formal vote formula

PASS if:

Union support weight + State support weight $\geq 3/4$

Union support weight = $1/3$ if Union votes yes, otherwise 0

State support weight = (States voting yes / States present and voting) $\times 2/3$

Visual 20 - Why 5/8 of State votes are needed with Union support

required total = $3/4 = 9/12$

Union yes = $1/3 = 4/12$

remaining weighted support needed = $5/12$

States collectively hold = $2/3$

required fraction of State votes = $(5/12) / (2/3)$

= $5/8 = 62.5\%$

[ANALYSIS] Therefore, when the Union supports a proposal, at least five-eighths of the State votes present and voting must support it, subject to rounding to a whole number of States.

Visual 21 - Coalition examples with 20 States present and voting

Union	States in favour	Weighted total	Result
yes	13 of 20	$1/3 + (13/20 \times 2/3) = 0.7667$	passes
yes	12 of 20	$1/3 + (12/20 \times 2/3) = 0.7333$	fails
no	all 20	2/3	fails
yes	0	1/3	fails

[LIMIT] Abstentions change the denominator because Article 279A(9) refers to members present and voting, not every member on the constitutional roll.

Visual 22 - Consensus practice versus formal rule

Dimension	Consensus practice	Formal constitutional vote
objective	reduce visible federal division	resolve a proposal when voting occurs
legal threshold	political agreement	at least three-fourths weighted
Union position	negotiates	one-third weight
State position	negotiated collective voice	together two-thirds
exam line	common practice	binding procedural rule

[CURRENT] The official Council institutional page describes a general consensus-based approach. [LIMIT] Consensus does not repeal Article 279A(9).

CLOSING RECALL FLOW - QUORUM, WEIGHTED VOTING AND COALITION ARITHMETIC

START / CONCEPT: QUORUM, WEIGHTED VOTING AND COALITION ARITHMETIC

|

v

EXACT TERMS: quorum · weighted · voting · coalition · GST Council · Article 279A · fiscal federalism · legal effect

|

v

MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.

|

v

CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.

|

v

UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.

|

v

ANSWER-GRABBING FORMULATION: Quorum, Weighted Voting And Coalition Arithmetic shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

SESSION 9 - PROCEDURE, RECORDS AND INSTITUTIONAL ACCOUNTABILITY

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Procedure, Records And Institutional Accountability explains the GST constitutional rule in accessible federal terms.

Technical definition: Procedure, Records And Institutional Accountability connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Procedure, Records And Institutional Accountability shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- **procedure**
- **records**
- **institutional**
- **accountability**
- **GST Council**
- **Article 279A**
- **fiscal federalism**
- **legal effect**

How to use them: Frame the answer through procedure; define records, connect institutional with accountability to explain the mechanism, and use GST Council for the decisive comparison or qualification.

[FACT] The conduct regulations provide for a duly constituted meeting under the Chairperson with at least half the members present, proposal circulation, discussion, division, running minutes, Chairperson-signed minutes and confirmation at the next meeting.

[ANALYSIS] Reasoned and timely publication matters because rate coordination affects revenue, prices, credit chains and State autonomy. Transparency improves both democratic accountability and judicially reviewable legality.

Visual 23 - Accountability chain

```
AGENDA + EVIDENCE
|
STATE/UNION POSITIONS
|
REASONS + RECOMMENDATION
|
MINUTES / PRESS RELEASE
|
LEGAL INSTRUMENT
|
REVENUE + DISTRIBUTIONAL OUTCOME
|
AUDIT / LEGISLATIVE SCRUTINY / COURT REVIEW
```

[LIMIT] Full publication may be shaped by Council directions and confidentiality. A reform demand for fuller reasons must be labelled a proposal, not current constitutional law.

CLOSING RECALL FLOW - PROCEDURE, RECORDS AND INSTITUTIONAL ACCOUNTABILITY

```
START / CONCEPT: PROCEDURE, RECORDS AND INSTITUTIONAL ACCOUNTABILITY
|
v
EXACT TERMS: procedure · records · institutional · accountability · GST Council · Article 279A ·
fiscal federalism · legal effect
|
v
MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-
settlement route, and distinguish policy agreement from enforceable law.
|
v
CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy,
compliance and federal accountability.
|
v
UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory
liability, compensation entitlement or taxpayer appeal.
|
v
ANSWER-GRABBING FORMULATION: Procedure, Records And Institutional Accountability shows how pooled
tax sovereignty operates through constitutional competence, negotiation and statute.
```


SESSION 10 - GST MECHANICS THE COUNCIL INFLUENCES BUT DOES NOT ITSELF LEVY

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Gst Mechanics The Council Influences But Does Not Itself Levy explains the GST constitutional rule in accessible federal terms.

Technical definition: Gst Mechanics The Council Influences But Does Not Itself Levy connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Gst Mechanics The Council Influences But Does Not Itself Levy shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- mechanics
- council
- influences
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through mechanics; define council, connect influences with GST Council to explain the mechanism, and use Article 279A for the decisive comparison or qualification.

10.1 Dual GST

[FACT] Intra-State supplies generally attract Central GST and State GST (or Union Territory GST). Inter-State supplies generally attract IGST.

Visual 24 - Dual levy map

Transaction	Broad levy form	Revenue logic
intra-State supply	CGST + SGST/UTGST	shared tax base through parallel laws
inter-State supply	IGST	Union collection with credit and settlement
import	IGST treatment as inter-State supply, plus customs as applicable	destination principle
export/SEZ qualifying supply	zero-rated under IGST law	output burden relieved with credit/refund route subject to law

10.2 Input-tax credit

[FACT] CGST Act section 16 creates the entitlement framework for eligible input tax charged on inward supplies, subject to statutory conditions and restrictions. Section 49 governs use of the electronic credit ledger.

[ANALYSIS] ITC converts GST from a gross turnover tax toward a tax on value addition. Compliance and matching are integral because one firm's credit corresponds to tax reported elsewhere in the chain.

Visual 25 - ITC value chain

```

INPUT PURCHASE: tax paid = 18
|
OUTPUT SALE: tax liability = 30
|
eligible ITC used = 18
|
net cash tax = 12
    
```

[LIMIT] This illustration is conceptual. Actual eligibility depends on statutory conditions, blocked-credit rules, documentation and the supply's tax treatment.

10.3 Rates, exemptions and the notification problem

[FACT] CGST Act section 9(1) authorises notified rates on Council recommendation within the statutory ceiling. Section 11 authorises public-interest exemptions by notification on Council recommendation.

[FACT] The 56th Council release recommended broad 5, 18 and special 40 per cent rate categories. The official FAQ directed readers to the rate notification for revised legal rates.

Visual 26 - Rate decision is not one document

```

COUNCIL recommends category/rate/date
|
statutory authority checked
|
Gazette notification issued
|
classification + conditions + effective date applied
    
```

[CURRENT] Use the 56th meeting only as a dated reform anchor. [LIMIT] Do not answer a current item-rate question from the meeting headline alone.

Visual 27 - Exempt, nil-rated and zero-rated are not synonyms

Category	Output tax	ITC consequence, broad	Example logic
exempt supply	no output tax	credit may require reversal/restriction	exemption notification
nil-rated supply	rate schedule says nil	treated within exempt-supply framework for credit consequences	zero rate in tariff
zero-rated supply	special IGST-law category	credit/refund pathway may remain	exports and qualifying SEZ supplies
non-GST/outside levy	GST charge does not presently apply	GST credit chain may break	alcohol; deferred petroleum treatment

[LIMIT] Always read the statute and current notification; labels alone do not resolve every credit consequence.

10.4 Inverted duty structure

[FACT] An inverted duty structure arises where the tax rate on inputs exceeds the rate on outputs, generating accumulated credit.

Visual 28 - Inversion problem

INPUT TAX RATE HIGH
|
credit accumulates
|
OUTPUT TAX RATE LOWER
|
cash-flow / refund / classification pressure
|
Council may recommend rate correction
|
notification gives legal effect

[ANALYSIS] Rate rationalisation must balance fewer inversions, revenue neutrality, consumer incidence and sectoral lobbying.

CLOSING RECALL FLOW - GST MECHANICS THE COUNCIL INFLUENCES BUT DOES NOT ITSELF LEVY

START / CONCEPT: GST MECHANICS THE COUNCIL INFLUENCES BUT DOES NOT ITSELF LEVY
|
v
EXACT TERMS: mechanics · council · influences · GST Council · Article 279A · fiscal federalism · legal effect
|
v
MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.
|
v
CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.
|
v
UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.
|
v
ANSWER-GRABBING FORMULATION: Gst Mechanics The Council Influences But Does Not Itself Levy shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

SESSION 11 - CONSTITUTIONAL AND STATUTORY BOUNDARIES: ALCOHOL, PETROLEUM AND ELECTRICITY

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Constitutional And Statutory Boundaries: Alcohol, Petroleum And Electricity explains the GST constitutional rule in accessible federal terms.

Technical definition: Constitutional And Statutory Boundaries: Alcohol, Petroleum And Electricity connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Constitutional And Statutory Boundaries: Alcohol, Petroleum And Electricity shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- constitutional
- statutory
- boundaries
- alcohol
- GST Council
- Article 279A
- fiscal federalism

- legal effect

How to use them: Frame the answer through constitutional; define statutory, connect boundaries with alcohol to explain the mechanism, and use GST Council for the decisive comparison or qualification.

Visual 29 - Three different exclusion logics

Item	Legal position	Correct wording
alcoholic liquor for human consumption	excluded from GST definition by Article 366(12A)	constitutionally outside GST definition
petroleum crude, HSD, petrol, natural gas, ATF	Article 279A(5) defers GST to Council-recommended date; retained entries operate	capable of future GST inclusion from notified date
electricity	State List Entry 53 preserves tax on consumption or sale; supply treatment also depends on GST law/notification	do not call it an Article 366(12A) exclusion

[FACT] State List Entry 54 retains taxes on sale of the specified petroleum products and alcoholic liquor for human consumption, subject to the entry's limits. Entry 53 retains taxes on consumption or sale of electricity.

[LIMIT] "Everything outside the current rate schedule is constitutionally excluded" is false. Constitutional exclusion, deferred commencement, retained tax entry and notification-based exemption are distinct.

CLOSING RECALL FLOW - CONSTITUTIONAL AND STATUTORY BOUNDARIES: ALCOHOL, PETROLEUM AND ELECTRICITY

START / CONCEPT: CONSTITUTIONAL AND STATUTORY BOUNDARIES: ALCOHOL, PETROLEUM AND ELECTRICITY

|
v

EXACT TERMS: constitutional · statutory · boundaries · alcohol · GST Council · Article 279A · fiscal federalism · legal effect

|
v

MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.

|
v

CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.

|
v

UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.

|
v

ANSWER-GRABBING FORMULATION: Constitutional And Statutory Boundaries: Alcohol, Petroleum And Electricity shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

SESSION 12 - GST COMPENSATION: THE TRANSITION BARGAIN

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Gst Compensation: The Transition Bargain explains the GST constitutional rule in accessible federal terms.

Technical definition: Gst Compensation: The Transition Bargain connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Gst Compensation: The Transition Bargain shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- compensation

- transition
- bargain
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through compensation; define transition, connect bargain with GST Council to explain the mechanism, and use Article 279A for the decisive comparison or qualification.

[FACT] The 101st Amendment required a parliamentary compensation law for five years. The Compensation to States Act defines the transition period as five years from the transition date.

[FACT] The Act set a projected nominal growth rate of 14 per cent per annum and used the financial year ending 31 March 2016 as the base year. Compensation broadly represented the gap between projected and actual protected revenue under the Act.

[FACT] The five-year compensation period ended in June 2022.

[LIMIT] Compensation was a statutory transition guarantee; it was not a permanent constitutional entitlement administered directly by the Council.

Visual 30 - Compensation calculation logic

```

BASE-YEAR REVENUE: FY 2015-16
|
apply 14% projected nominal annual growth
|
PROJECTED PROTECTED REVENUE
|
minus ACTUAL REVENUE defined by the Act
|
COMPENSATION PAYABLE, subject to audit and statutory calculation

```

Visual 31 - Compensation timeline

```

2017 GST launch
|
2017-2022 five-year transition protection
|
COVID shock -> cess shortfall -> back-to-back borrowing
|
June 2022 compensation period ends
|
cess on specified goods continues for loan/interest servicing
|
future transition only through official notification

```

[CURRENT] The 56th meeting FAQ states that existing GST and compensation-cess rates on specified tobacco goods would continue until the entire loan and interest liabilities on account of compensation cess are discharged, with later transition to be notified.

[LIMIT] No exact final repayment or cessation date is asserted in this package.

Visual 32 - Separate four often-confused concepts

Concept	What it is	What it is not
constitutional direction	section 18 of 101st Amendment	perpetual payment guarantee
Compensation Act formula	14 per cent projected growth over 2015-16 base for transition period	ordinary Finance Commission devolution
compensation cess	earmarked levy/fund mechanism	State's general GST share
back-to-back loans	pandemic shortfall financing	extension of the five-year compensation entitlement itself

[ANALYSIS] Compensation was the credibility device that enabled States to exchange independent indirect-tax fields for a negotiated common base. The COVID shortfall exposed how transition assurances can become federal trust tests.

CLOSING RECALL FLOW - GST COMPENSATION: THE TRANSITION BARGAIN

START / CONCEPT: GST COMPENSATION: THE TRANSITION BARGAIN

|

v

EXACT TERMS: compensation · transition · bargain · GST Council · Article 279A · fiscal federalism · legal effect

|

v

MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.

|

v

CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.

|

v

UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.

|

v

ANSWER-GRABBING FORMULATION: Gst Compensation: The Transition Bargain shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

SESSION 13 - UNION OF INDIA V. MOHIT MINERALS (2022)

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mohit Minerals is the controlling GST Council decision explaining that Council recommendations guide cooperative bargaining but do not command legislatures.

Technical definition: The Mohit Minerals doctrine distinguishes persuasive Article 279A recommendations from binding statutory conditions imposed on delegated executive action under GST legislation.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Mohit Minerals preserves both sides of the GST compact: legislatures retain Article 246A authority, while Council recommendations remain central to coordinated fiscal decision-making.

MUST-WRITE KEYWORDS

- Mohit Minerals
- Article 279A
- Article 246A
- persuasive recommendation
- simultaneous legislative power
- delegated action

How to use them: Use Mohit Minerals with Article 279A and Article 246A to distinguish persuasive recommendation, simultaneous legislative power and statute-bound delegated action before evaluating cooperative federalism.

[FACT] The dispute concerned IGST on ocean freight in cost-insurance-freight imports and the validity of delegated notifications.

[FACT] The Supreme Court held that Council recommendations are not binding on the Union and State legislatures; they have persuasive value within a collaborative federal dialogue.

[FACT] The Court linked this conclusion to Article 246A's simultaneous legislative power and the absence of text making Article 246A subject to Article 279A.

[FACT] The Court also stated that where the CGST/IGST statutes make delegated rule-making or notification power conditional on Council recommendation, the executive must comply with that statutory condition.

[FACT] The ocean-freight levy failed because taxing the service component again conflicted with the statutory composite-supply scheme, even though the notification power was examined separately.

Visual 33 - Case pathway

```

CIF IMPORT
|
IGST already on value including freight
|
separate ocean-freight reverse-charge notification
|
challenge: competence + recipient + composite supply
|
SUPREME COURT
|-- Council recommendations persuasive for legislatures
|-- delegated executive remains bound by statutory conditions
+-- separate freight levy invalid within composite-supply scheme
  
```

Visual 34 - Exact holding matrix

Question	Holding	Qualification
Are Council recommendations binding on legislatures?	no; recommendatory/persuasive	high political and harmonising value remains
Does Article 246A preserve Union and State legislative power?	yes, within constitutional fields	Parliament exclusive for inter-State supply
May executive ignore a statute requiring Council recommendation?	no	statutory condition binds delegated action
Did the Court make the Council irrelevant?	no	collaborative dialogue remains central
Was every Council-linked notification invalidated?	no	ocean-freight outcome turned on statutory scheme

Visual 35 - Primary law versus delegated action

PARLIAMENT / STATE LEGISLATURE

Article 246A power

Council recommendation = persuasive, not binding

GOVERNMENT ISSUING NOTIFICATION

power comes from GST statute

if statute says "on Council recommendation"

the condition must be followed

[LIMIT] The safe proposition is not "Council decisions are optional in every setting." It is: recommendations do not bind primary legislative power, while a statute may bind executive action to a recommendation.

Visual 36 - Federal consequence of the judgment

Reading	Federal effect	Risk
binding Council edict	uniformity	subordinates legislatures to an intergovernmental forum
persuasive recommendation	preserves legislative autonomy and dialogue	potential divergence if consensus fails
statute-conditioned notification	maintains lawful delegated coordination	requires precise statutory reading

[ANALYSIS] *Mohit Minerals* constitutionalises bargaining rather than command. Harmonisation is sustained by political interdependence, credit chains and common-market costs, not by treating the Council as a super-legislature.

CLOSING RECALL FLOW - UNION OF INDIA V. MOHIT MINERALS (2022)

START / CONCEPT: UNION OF INDIA V. MOHIT MINERALS (2022)

|

v

EXACT TERMS: Mohit Minerals • Article 279A • Article 246A • persuasive recommendation • simultaneous legislative power • delegated action

|

v

MECHANISM / ARGUMENT: The Council deliberates and recommends, legislatures exercise constitutional competence, and executive notifications remain bound by any recommendation condition written into the governing statute.

|

v

CONSEQUENCE / CONTRAST: The doctrine rejects Council hierarchy without reducing the institution to irrelevance, making dialogue and legal implementation separate but connected stages.

|

v

UPSC TRAP / ANSWER-USE: Do not say that every Council recommendation binds Parliament and States, or that non-binding status frees delegated executive action from statutory conditions.

|

v

ANSWER-GRABBING FORMULATION: Mohit Minerals preserves both sides of the GST compact: legislatures retain Article 246A authority, while Council recommendations remain central to coordinated fiscal decision-making.

SESSION 14 - COOPERATIVE, COMPETITIVE AND CONFRONTATIONAL FEDERALISM

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Cooperative, Competitive And Confrontational Federalism explains the GST constitutional rule in accessible federal terms.

Technical definition: Cooperative, Competitive And Confrontational Federalism connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Cooperative, Competitive And Confrontational Federalism shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

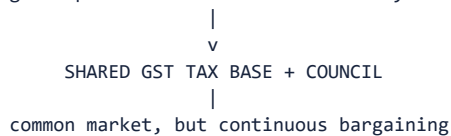
MUST-WRITE KEYWORDS

- cooperative
- competitive
- confrontational
- federalism
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through cooperative; define competitive, connect confrontational with federalism to explain the mechanism, and use GST Council for the decisive comparison or qualification.

Visual 37 - Pooled-sovereignty model

UNION gives up unilateral control over a fully central indirect-tax design
STATES give up unilateral control over many State indirect taxes



[ANALYSIS] GST is better described as **pooled sovereignty** than as either complete centralisation or complete State autonomy.

Visual 38 - Three operating modes

Mode	GST example	Value	Risk
cooperative	consensus on common rules and procedures	harmonisation	unequal bargaining may be hidden
competitive	States improve administration/compliance	innovation	enforcement race or taxpayer burden
confrontational	compensation, rate or exclusion dispute	autonomy and accountability	fragmentation and trust deficit

Visual 39 - Gains and autonomy costs

Claimed gain	Named mechanism	Qualification
reduced cascading	ITC chain	blocked/mismatched credit can interrupt
common market	harmonised base and IGST	exclusions and compliance variation remain
destination revenue	Article 269A	producing States faced transition concerns
joint voice	Article 279A membership/vote	Union has blocking weight
predictability	Council process and notifications	frequent change can create compliance cost
wider information	invoice system	privacy, capacity and false-invoice risks remain

[ANALYSIS] State autonomy shifted from unilateral rate-setting toward negotiated rule-making plus retained legislative competence after *Mohit Minerals*. The exchange is real, not costless.

CLOSING RECALL FLOW - COOPERATIVE, COMPETITIVE AND CONFRONTATIONAL FEDERALISM

START / CONCEPT: COOPERATIVE, COMPETITIVE AND CONFRONTATIONAL FEDERALISM

|

v

EXACT TERMS: cooperative · competitive · confrontational · federalism · GST Council · Article 279A
· fiscal federalism · legal effect

|

v

MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.

|

v

CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.

|

v

UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.

|

v

ANSWER-GRABBING FORMULATION: Cooperative, Competitive And Confrontational Federalism shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

SESSION 15 - RECURRING CONFLICTS AND ARTICLE 279A(11)

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Recurring Conflicts And Article 279A(11) explains the GST constitutional rule in accessible federal terms.

Technical definition: Recurring Conflicts And Article 279A(11) connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Recurring Conflicts And Article 279A(11) shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- recurring
- conflicts
- article
- 279a
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through recurring; define conflicts, connect article with 279a to explain the mechanism, and use GST Council for the decisive comparison or qualification.

[FACT] Article 279A(11) commands the Council to establish a mechanism to adjudicate disputes between the Union and State(s), opposing Union-State groupings, or two or more States, where the dispute arises from Council recommendations or implementation.

[LIMIT] This is an intergovernmental dispute clause. It is not the taxpayer appeal hierarchy under GST statutes.

Visual 40 - What clause (11) covers

Dispute pair	Within clause (11)?
Government of India versus one or more States	yes
Government of India and some States versus other State(s)	yes
two or more States	yes
taxpayer versus assessing officer	no; statutory appeal route
supplier versus customer	no; ordinary legal remedies

[CURRENT] No complete, separately published Article 279A(11) adjudicatory mechanism was located in the official public material reviewed for this control date.

Visual 41 - Current institutional gap

CONSTITUTIONAL DUTY: establish intergovernmental adjudicatory mechanism
 |
 officially visible Council committees / negotiation / minutes
 |
 taxpayer appeals and GSTAT are separate
 |
 [LIMIT] no verified complete clause (11) mechanism located
 |
 [ANALYSIS] reform need: neutral panel + procedure + reasons + review boundary

Conflict matrix

Conflict	Union concern	State concern	Balanced route
rate rationalisation	common market/revenue	local incidence and fiscal need	published modelling and transition
compensation	fiscal capacity/debt	trust and surrendered autonomy	transparent accounts and negotiated post-transition framework
petroleum inclusion	credit chain/inflation	VAT revenue autonomy	phased, product-specific decision with revenue safeguard
compliance	anti-evasion	small-business burden	risk-based, interoperable simplification
cesses	targeted revenue	divisible-pool erosion and autonomy	distinguish GST cess from Union cesses; improve transparency
divergent legislation	legal autonomy	harmonisation costs	Council dialogue plus constitutional litigation where necessary

CLOSING RECALL FLOW - RECURRING CONFLICTS AND ARTICLE 279A(11)

START / CONCEPT: RECURRING CONFLICTS AND ARTICLE 279A(11)
 |
 v
 EXACT TERMS: recurring · conflicts · article · 279a · GST Council · Article 279A · fiscal federalism · legal effect
 |
 v
 MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.
 |
 v
 CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.
 |
 v
 UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.
 |
 v
 ANSWER-GRABBING FORMULATION: Recurring Conflicts And Article 279A(11) shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

SESSION 16 - INSTITUTIONAL COMPARISON

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Institutional Comparison explains the GST constitutional rule in accessible federal terms.

Technical definition: Institutional Comparison connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Institutional Comparison shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- institutional
- comparison
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through institutional; define comparison, connect GST Council with Article 279A to explain the mechanism, and use fiscal federalism for the decisive comparison or qualification.

Visual 42 - GST Council, Finance Commission, Inter-State Council and Zonal Councils

Dimension	GST Council	Finance Commission	Inter-State Council	Zonal Councils
base	Article 279A	Article 280	Article 263 enables establishment; 1990 order	States Reorganisation Act, 1956
continuity	standing forum	periodic commission	continuing advisory forum once established	standing statutory regional forums
membership	Union FM, Union MoS, State ministers	Chair + four expert members	PM, Union and State leadership under order	Union Home Minister and regional members
subject	GST design	tax devolution and grants	broad intergovernmental coordination	regional cooperation/security/development
output	recommendations	recommendations to President	advice/recommendations	deliberative recommendations
vote design	weighted 1/3 Union, 2/3 States, 3/4 threshold	no federal weighted vote	no Article 279A-style vote	no Article 279A-style vote
key trap	does not devolve divisible pool	does not set GST rates	not a GST rate body	statutory, not constitutional

Visual 43 - Which institution answers which question?

GST RATE / EXEMPTION / MODEL LAW? ----- GST COUNCIL
UNION-STATE TAX DEVOLUTION / GRANTS? ----- FINANCE COMMISSION
BROAD CENTRE-STATE POLICY COORDINATION? ---- INTER-STATE COUNCIL
REGIONAL INTER-STATE COOPERATION? ----- ZONAL COUNCIL
LEGALITY OF TAX/NOTIFICATION? ----- COURT / TRIBUNAL

[ANALYSIS] The GST Council coordinates a shared tax base; the Finance Commission redistributes shareable Union revenues. They interact in fiscal federalism but perform different constitutional jobs.

CLOSING RECALL FLOW - INSTITUTIONAL COMPARISON

START / CONCEPT: INSTITUTIONAL COMPARISON

|
v

EXACT TERMS: institutional · comparison · GST Council · Article 279A · fiscal federalism · legal effect

|
v

MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.

|
v

CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.

|
v

UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.

|
v

ANSWER-GRABBING FORMULATION: Institutional Comparison shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

SESSION 17 - ACCOUNTABILITY AND REFORM AGENDA

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Accountability And Reform Agenda explains the GST constitutional rule in accessible federal terms.

Technical definition: Accountability And Reform Agenda connects Articles 246A, 269A or 279A to legislation, settlement, Council procedure and legal effect.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Accountability And Reform Agenda shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

MUST-WRITE KEYWORDS

- accountability
- reform
- agenda
- GST Council
- Article 279A
- fiscal federalism
- legal effect

How to use them: Frame the answer through accountability; define reform, connect agenda with GST Council to explain the mechanism, and use Article 279A for the decisive comparison or qualification.

[FACT] Present law already supplies membership, quorum, weighted voting, recommendations, statutory implementation and judicial review.

[ANALYSIS] Reform should improve evidence, reasons, federal trust and administrative simplicity without pretending that a proposal is enacted law.

Visual 44 - Reform matrix

Proposal	Problem addressed	Safeguard/qualification
publish fuller minutes and reasons	opaque trade-offs	protect legitimately confidential taxpayer data
independent revenue/distribution modelling	contested projections	publish assumptions and error bands
operationalise Article 279A(11)	unresolved intergovernmental disputes	define jurisdiction, neutrality and review
stable rate-review calendar	frequent compliance change	emergency flexibility retained
simplify rate structure	classification and inversion	protect revenue and vulnerable consumption
compensation-transition framework	post-2022 trust gap	do not recreate automatic permanent guarantee without law
strengthen small-business support	compliance burden	avoid weakening anti-evasion controls
assess local-government losses	octroi/entry-tax displacement	route through State-local fiscal architecture
transparent notification tracker	recommendation-law confusion	mark recommendation, notification and effective date separately

Visual 45 - Safe current-affairs writing protocol

1. NAME OFFICIAL MEETING + DATE
2. SAY "RECOMMENDED", NOT "LAW", AT COUNCIL STAGE
3. IDENTIFY NOTIFICATION / ACT FOR LEGAL EFFECT
4. STATE EFFECTIVE DATE
5. AVOID UNVERIFIED ITEM-WISE RATE LIST
6. ADD CONTROL DATE + VOLATILITY LIMIT

CLOSING RECALL FLOW - ACCOUNTABILITY AND REFORM AGENDA

START / CONCEPT: ACCOUNTABILITY AND REFORM AGENDA

|
v

EXACT TERMS: accountability · reform · agenda · GST Council · Article 279A · fiscal federalism · legal effect

|
v

MECHANISM / ARGUMENT: Identify the competent institution, trace the recommendation or tax-settlement route, and distinguish policy agreement from enforceable law.

|
v

CONSEQUENCE / CONTRAST: The learner can evaluate common-market coordination, State fiscal autonomy, compliance and federal accountability.

|
v

UPSC TRAP / ANSWER-USE: Do not confuse Council recommendation, Gazette notification, statutory liability, compensation entitlement or taxpayer appeal.

|
v

ANSWER-GRABBING FORMULATION: Accountability And Reform Agenda shows how pooled tax sovereignty operates through constitutional competence, negotiation and statute.

ANSWER-WRITING ARCHITECTURE

Visual 46 - Claim-evidence-analysis-qualification unit

Step	GST Council example
claim	the Council institutionalises shared fiscal rule-making
named evidence	Article 279A membership and 1/3-2/3 weighted vote
analysis	neither Union nor States can pass alone
qualification	Union can block; recommendations do not bind legislatures after <i>Mohit Minerals</i>

Visual 47 - Mark-scaled structure

Marks	Architecture	Evidence load
10	definition/thesis -> three mechanisms -> one limitation -> verdict	2 Articles + one statute/case
15	architecture -> voting -> law interaction -> federal evaluation -> verdict	4-6 named anchors
20	pre-GST problem -> Articles 246A/269A/279A -> mechanics -> compensation/case -> conflicts/reforms -> graded verdict	6-8 anchors and counterpoint

Visual 48 - Directive map

Directive	What examiner expects
explain significance	identify constitutional/economic change and why it matters
examine	test design against operation and limitations
critically analyse	gains, costs, counter-view and graded judgment
compare	common basis plus sharp distinctions
suggest	diagnosed problem -> feasible institutional remedy -> safeguard

Visual 49 - High-risk trap board

Wrong claim	Controlled correction
GST Council is statutory	constitutional under Article 279A
Prime Minister chairs it	Union Finance Minister
Revenue Secretary is constitutional member	ex-officio Secretary by administrative arrangement
Centre has half the vote	one-third
quorum is one-third	one-half
simple majority passes	at least three-fourths weighted
States can pass without Union	maximum State weight is two-thirds
recommendations always bind	persuasive for legislatures; statutes may bind delegated action
compensation is permanent constitutional right	five-year statutory transition ended June 2022
petroleum is outside forever	date may be recommended under Article 279A(5)
electricity equals alcohol exclusion	electricity follows a different entry/notification logic
Council press release itself changes tax	legal effect requires competent instrument

Visual 50 - Current-control board, 28 August 2026

Field	Safe statement
latest located official meeting release	56th meeting, 3 September 2025
broad rate reform anchor	recommended 5%, 18% and special 40%; most changes intended 22 September 2025
2026 official evidence	April newsletter records a rate notification amendment on Council recommendation
commodity-wise rates	omitted; verify applicable notification
compensation cess	specified old rates continued pending entire loan/interest discharge; no exact end date frozen
Article 279A(11)	duty exists; complete public mechanism not verified
case law	<i>Mohit Minerals</i> remains controlling Supreme Court proposition located

BASIC MCQS / REMEDIATION

ORIGINAL MCQS - 36 QUESTIONS

OM1. Special legislative competence

Which provision creates the special shared legislative power over GST?

A. Article 246A B. Article 280 C. Article 301 D. Article 263

Answer: A.

Explanation: [FACT] Article 246A gives Parliament and State legislatures GST competence, subject to Parliament's exclusive power over inter-State supplies.

OM2. Inter-State supply

Under Article 246A(2), exclusive legislative power over GST on inter-State supply belongs to:

A. the Finance Commission. B. Parliament. C. the GST Council. D. State legislatures collectively.

Answer: B.

Explanation: [FACT] The Council recommends and Article 269A handles allocation, but Parliament has the exclusive inter-State legislative field.

OM3. IGST bridge

Which Article provides for Union levy and collection of GST on inter-State supplies with apportionment?

A. Article 268 B. Article 279 C. Article 269A D. Article 270

Answer: C.

Explanation: [FACT] Article 269A is the constitutional IGST and place-of-supply bridge.

OM4. Council chair

The constitutional Chairperson of the GST Council is:

A. the Minister of State for Finance. B. the Prime Minister. C. the Revenue Secretary. D. the Union Finance Minister.

Answer: D.

Explanation: [FACT] Article 279A(2)(b) expressly names the Union Finance Minister.

OM5. State representation

Each State Government is represented constitutionally by:

A. its finance/taxation minister or another minister it nominates. B. one legislator elected by the Assembly. C. its Chief Secretary only. D. the Governor.

Answer: A.

Explanation: [FACT] Article 279A(2)(b) uses ministerial representation, not officials as voting substitutes.

OM6. Vice-Chair

The Vice-Chairperson is chosen:

A. automatically by seniority among Chief Ministers. B. by State members from among themselves for a period they decide. C. by the Council Secretariat. D. by the President from Union ministers.

Answer: B.

Explanation: [FACT] Article 279A(3) leaves both selection and period to State members.

OM7. Secretariat status

Which statement is correct?

A. The Constitution creates an independent permanent GST civil service. B. The CBIC Chairperson carries the Union's one-third vote. C. The Secretariat is an administrative arrangement supporting the constitutional Council. D. Article 279A makes the Revenue Secretary a voting member.

Answer: C.

Explanation: [FACT] The Cabinet approved the Secretariat, ex-officio Secretary and non-voting invitee; these are not additional constitutional members.

OM8. Recommendation field

Which subject is not an Article 279A(4) recommendation field?

A. floor rates with bands. B. thresholds for GST exemption. C. special disaster rates. D. horizontal tax devolution among States from the divisible pool.

Answer: D.

Explanation: [FACT] Horizontal devolution belongs to the Finance Commission architecture, not GST Council rate design.

OM9. Petroleum date

Article 279A(5) requires the Council to recommend:

A. the date for GST levy on five specified petroleum products. B. customs duty on crude oil. C. permanent exclusion of every petroleum product. D. State VAT rates on alcohol.

Answer: A.

Explanation: [FACT] Crude, HSD, petrol, natural gas and ATF are deferred to a Council-recommended date.

OM10. Quorum

The constitutional quorum is:

A. two-thirds of all members. B. one-half of total Council members. C. one-third of voting States. D. three-fourths of members present.

Answer: B.

Explanation: [FACT] Article 279A(7) fixes one-half of total membership.

OM11. Passing threshold

A formal Council decision requires:

A. simple majority of persons present. B. unanimity. C. at least three-fourths of weighted votes present and voting. D. two-thirds of unweighted votes.

Answer: C.

Explanation: [FACT] Consensus is practice; Article 279A(9) supplies the weighted legal threshold.

OM12. Vote weights

Which pairing is correct?

A. Union one-fourth; States three-fourths. B. Union one-half; States one-half. C. Union two-thirds; States one-third. D. Union one-third; States together two-thirds.

Answer: D.

Explanation: [FACT] The Constitution divides total votes cast in that ratio.

OM13. Union blocking position

Why can the Union block a proposal?

A. Without Union support, State weight can reach only two-thirds, below three-fourths. B. Every State vote is advisory. C. Parliament must first approve each vote. D. The Chairperson has an absolute veto written in Article 279A.

Answer: A.

Explanation: [ANALYSIS] The blocking effect follows arithmetically from the constitutional weights, not from a separate veto clause.

OM14. State coalition needed

If the Union votes in favour, what fraction of State votes present and voting must support the proposal at minimum?

A. two-thirds. B. five-eighths. C. three-fourths. D. one-half.

Answer: B.

Explanation: [ANALYSIS] Three-fourths minus one-third leaves five-twelfths; divided by the States' two-thirds weight, this equals five-eighths.

OM15. Consensus

Which statement best describes consensus in the Council?

A. It constitutionally replaces voting. B. It requires judicial certification. C. It is a preferred practice operating alongside the formal Article 279A(9) rule. D. It means the Union has no vote.

Answer: C.

Explanation: [FACT] The official Council page describes consensus practice; [LIMIT] the weighted rule remains legally available.

OM16. Council recommendation and law

A Council press release announcing a rate change:

A. is equivalent to a Supreme Court order. B. binds consumers before any effective date. C. automatically amends every GST Act. D. must be followed through the competent legal instrument for enforceable effect.

Answer: D.

Explanation: [FACT] Statutes and Gazette notifications create the applicable liability.

OM17. Dual GST

An ordinary intra-State taxable supply broadly attracts:

A. CGST plus SGST/UTGST. B. customs duty only. C. IGST only. D. compensation cess only.

Answer: A.

Explanation: [FACT] Parallel Union and State/UT laws operationalise the shared Article 246A field.

OM18. Input-tax credit

The core economic function of eligible ITC is to:

A. exempt every business input. B. reduce cascading by crediting eligible input tax against output liability. C. transfer GST Council votes. D. replace every tax with a fee.

Answer: B.

Explanation: [FACT] Sections 16 and 49 form the broad credit-entitlement and use architecture.

OM19. Inverted duty

An inverted duty structure occurs where:

A. no invoice is issued. B. direct tax exceeds indirect tax. C. the input tax rate exceeds the output tax rate. D. output is exported.

Answer: C.

Explanation: [FACT] The mismatch can accumulate credit and create refund/cash-flow pressure.

OM20. Zero-rating

Which category is designed to preserve a credit/refund route despite relief from output burden?

A. every nil-rated supply. B. every non-GST supply. C. every exempt domestic supply. D. zero-rated supply under the IGST framework.

Answer: D.

Explanation: [FACT] Exports and qualifying SEZ supplies are the standard zero-rating examples, subject to law.

OM21. Alcohol boundary

Alcoholic liquor for human consumption is:

A. excluded from the GST definition by Article 366(12A). B. merely deferred under Article 279A(5). C. zero-rated by Article 269A. D. assigned to the Finance Commission.

Answer: A.

Explanation: [FACT] This is a constitutional definition exclusion, unlike the petroleum-date mechanism.

OM22. Electricity boundary

Which statement is precise?

A. The GST Council alone collects electricity duty. B. State List Entry 53 retains tax on consumption or sale of electricity; GST supply treatment also depends on law/notification. C. Electricity duty was constitutionally converted into IGST. D. Electricity is excluded by the same words as alcohol in Article 366(12A).

Answer: B.

Explanation: [FACT] Electricity follows a different constitutional and notification route from alcohol and petroleum.

OM23. Compensation base

The Compensation Act used which base year?

A. 2017-18. B. 2016-17. C. financial year ending 31 March 2016. D. 2019-20.

Answer: C.

Explanation: [FACT] Section 4 identifies FY 2015-16 as the base year.

OM24. Protected growth

The projected nominal annual growth rate under the Compensation Act was:

A. 10 per cent. B. 15 per cent. C. 12 per cent. D. 14 per cent.

Answer: D.

Explanation: [FACT] Section 3 set 14 per cent for the transition period.

OM25. Compensation duration

The statutory transition period was:

A. five years from the transition date. B. ten years from enactment. C. permanent. D. dependent on each Finance Commission.

Answer: A.

Explanation: [FACT] The five-year period ended in June 2022 for the GST launch timeline.

OM26. Cess after June 2022

Which statement is safe?

A. Every cess entered the divisible pool. B. Cess continuation for pandemic loan/interest servicing is distinct from extending the five-year entitlement. C. States acquired power to set the cess unilaterally. D. The compensation entitlement automatically became permanent.

Answer: B.

Explanation: [CURRENT] The official 56th FAQ links specified cess continuation to discharge of loan and interest liabilities.

OM27. Mohit Minerals

The Supreme Court held Council recommendations to legislatures are:

A. irrelevant. B. binding decrees. C. persuasive/recommendatory. D. constitutional amendments.

Answer: C.

Explanation: [FACT] The Court tied recommendatory status to simultaneous legislative power and collaborative dialogue.

OM28. Delegated notification

After *Mohit Minerals*, where a GST statute authorises notification “on the recommendations of the Council”:

A. the recommendation automatically becomes primary law. B. only States must comply. C. the executive may ignore the condition. D. the executive must satisfy the statutory condition.

Answer: D.

Explanation: [FACT] The judgment separates legislative autonomy from statute-bound delegated action.

OM29. Ocean freight

The ocean-freight levy was ultimately invalid because:

A. it conflicted with the statutory composite-supply scheme and duplicated the freight component. B. imports cannot be inter-State supplies. C. the Council lacked any power to discuss freight. D. Article 279A was repealed.

Answer: A.

Explanation: [FACT] The Court's outcome rested on the IGST/CGST statutory scheme, not a blanket invalidation of Council-linked notifications.

OM30. Article 279A(11)

The clause (11) mechanism concerns:

A. private commercial arbitration. B. intergovernmental disputes arising from Council recommendations or implementation. C. taxpayer assessment appeals. D. election disputes.

Answer: B.

Explanation: [FACT] It covers Union-State and State-State disputes, not the ordinary taxpayer hierarchy.

OM31. Finance Commission comparison

Which body recommends Union-State tax devolution and grants?

A. GST Council. B. Zonal Council. C. Finance Commission. D. Inter-State Council.

Answer: C.

Explanation: [FACT] Article 280 performs redistribution; Article 279A coordinates GST design.

OM32. Inter-State Council comparison

The Inter-State Council is best distinguished as:

A. a statutory regional body. B. the rate-notification authority. C. a periodic expert tax commission. D. a broad advisory coordination forum enabled by Article 263.

Answer: D.

Explanation: [FACT] It does not possess the GST Council's weighted tax vote.

OM33. Local-government effect

Which is the soundest analytical statement?

A. Subsuming entry tax/octroi can affect local own-revenue space, requiring State-local fiscal adjustment. B. Article 279A replaced State Finance Commissions. C. Municipalities became GST Council voting members. D. GST compensation was paid constitutionally to every municipality.

Answer: A.

Explanation: [ANALYSIS] Local effects are real, but constitutional compensation was to States and local finance remains State-mediated.

OM34. Latest located meeting release

For this package's control date, the latest official meeting recommendation release located was:

A. a 2026 57th meeting release. B. the 56th meeting release of 3 September 2025. C. the 55th meeting only. D. no official release.

Answer: B.

Explanation: [CURRENT] No later official meeting release was established; April 2026 material was a newsletter, not a new meeting outcome.

OM35. Current rate writing

The safest way to state a current GST rate is:

A. rely only on coaching summaries. B. assume every recommendation was notified unchanged. C. identify the applicable notification, classification, conditions and effective date. D. quote the Council headline without date.

Answer: C.

Explanation: [LIMIT] Council recommendations and legally effective rates are distinct stages.

OM36. Reform status

Which statement correctly labels reform?

A. An independent fiscal council currently sets GST rates. B. Article 279A already mandates public release of every internal model. C. Article 279A(11) has been repealed. D. Fuller reasons, independent data and a neutral dispute panel are proposals, not current law.

Answer: D.

Explanation: [ANALYSIS] Reform proposals must be separated from enacted constitutional and statutory rules.

REMEDIAL MCQS - 12 QUESTIONS

RM1. Quorum-versus-weight trap

Which pairing is correct?

A. quorum one-half; Union vote weight one-third. B. both are three-fourths. C. quorum one-third; Union vote weight one-half. D. both are two-thirds.

Answer: A.

Explanation: [FACT] These are separate constitutional fractions with different functions.

RM2. Union-pass trap

The Union voting alone:

A. passes because it chairs the meeting. B. cannot pass because its weight is only one-third. C. converts the recommendation into law. D. passes if quorum exists.

Answer: B.

Explanation: [FACT] Three-fourths weighted support is required.

RM3. States-alone trap

All States present and voting in favour, with the Union opposed, produce at most:

A. unanimity. B. four-fifths. C. two-thirds, so the proposal fails. D. three-fourths.

Answer: C.

Explanation: [ANALYSIS] State weight cannot cross the formal threshold without Union support.

RM4. Recommendation trap

“Council recommendations are non-binding” means:

A. no GST notification needs Council input. B. the Council is unconstitutional. C. States may ignore every statutory condition. D. primary legislatures retain power, while delegated action remains governed by its statute.

Answer: D.

Explanation: [FACT] This is the precise *Mohit Minerals* distinction.

RM5. Petroleum trap

Which statement corrects “petrol can never enter GST”?

A. Article 279A(5) allows GST from a Council-recommended and legally notified date. B. State legislatures alone decide inter-State petrol GST. C. Petrol was excluded by Article 366(12A). D. The Finance Commission fixes the date.

Answer: A.

Explanation: [FACT] Deferral is not permanent constitutional exclusion.

RM6. Compensation trap

Which statement is correct?

A. June 2022 ended every compensation-cess liability immediately. B. The 2017 Act created a five-year, formula-based transition guarantee. C. Article 279A permanently guarantees 14 per cent revenue growth. D. Compensation is an Article 280 grant.

Answer: B.

Explanation: [FACT] Separate constitutional direction, statute, cess and loan servicing.

RM7. Exemption trap

Which distinction is correct?

A. the Council itself credits refunds. B. non-GST and nil-rated are constitutional synonyms. C. zero-rating can preserve credit/refund pathways unlike ordinary exemption. D. exempt and zero-rated always have identical ITC consequences.

Answer: C.

Explanation: [FACT] Credit consequences depend on the category and statutory framework.

RM8. Secretariat trap

Which statement is inaccurate?

A. CBIC Chair is a non-voting permanent invitee. B. the Secretariat supports Council proceedings. C. Revenue Secretary is ex-officio Secretary by administrative arrangement. D. Article 279A makes the Secretariat a fourth constitutional government.

Answer: D.

Explanation: [LIMIT] Administrative support must not be inflated into a constitutional tier.

RM9. Latest-source trap

Which dated formulation is safest?

- A. "As of 19 August 2026, the latest official meeting release located is the 56th meeting release of 3 September 2025."
B. "All 2025 recommendations were self-executing." C. "The April 2026 newsletter is the 57th meeting." D. "A 57th meeting certainly occurred in August 2026."

Answer: A.

Explanation: [CURRENT] The statement reports the evidence located without claiming universal absence.

RM10. Electricity trap

Electricity is best handled by saying:

- A. it is a Finance Commission tax. B. State Entry 53 and applicable GST notifications must be distinguished. C. it is excluded by Article 366(12A) exactly like alcohol. D. Article 269A makes every electricity sale inter-State.

Answer: B.

Explanation: [FACT] This avoids collapsing different constitutional and statutory routes.

RM11. Clause (11) trap

GSTAT is not automatically the Article 279A(11) mechanism because:

- A. only Parliament may hear tax cases. B. Article 279A(11) was omitted. C. GSTAT handles statutory taxpayer appeals, while clause (11) concerns intergovernmental disputes. D. GSTAT sets rates.

Answer: C.

Explanation: [FACT] The disputants and legal sources differ.

RM12. Institutional comparison trap

Which pairing is wrong?

- A. Inter-State Council - broad coordination. B. Zonal Councils - regional statutory forum. C. Finance Commission - tax devolution. D. GST Council - final CAG certification of net proceeds.

Answer: D.

Explanation: [FACT] CAG certification under Article 279 belongs to fiscal-transfer mechanics, not Council rate design.

PYQS AND ANSWER PRACTICE

[FACT] This H2 deliberately begins all practice material so that `markdown_learning_pdf.py --mode workbook` extracts the workbook and stops before the final consolidated register notes.

[FACT] Audited routing ledgers for 2018-2023, 2024-2025 and 2026 were searched for GST Council, Article 279A, Article 246A, GST, cooperative/accommodative federalism and *Mohit Minerals*.

[FACT] One direct Polity Mains PYQ was verified: **2023 GS-II Q15** on the 101st Amendment and accommodative federalism.

[FACT] Three closely adjacent verified GST questions are included without relabelling ownership: **2018 Prelims Q97** on GST exemption, **2019 GS-III Q1** on subsumed indirect taxes/revenue implications, and **2020 GS-III Q12** on compensation/COVID federal tension.

[FACT] One wider adjacent fiscal-federalism question, **2025 GS-II Q14**, is included because GST is one necessary reform dimension; its principal owner remains Centre-State Relations.

[LIMIT] No direct standalone 2024, 2025 or 2026 GST Council question was found in the audited routes. The 2016 Essay prompt "Cooperative federalism: Myth or reality" is thematically useful but is not relabelled here as a GST Council PYQ.

Visual 51 - PYQ route audit

Year	Stage/paper	Directness	Package treatment
2018	Prelims GS-I Q97	adjacent GST-rate/exemption mechanics	solve with historical-key limitation
2019	GS-III Q1	adjacent GST structure/economy	full model solution
2020	GS-III Q12	adjacent compensation/federalism	full model solution
2023	GS-II Q15	direct constitutional owner	full model solution
2025	GS-II Q14	broad fiscal-federalism adjacency	full routed model, ownership qualified

Verified PYQ 1 - UPSC Prelims 2018, Q97

Question: Consider the following items:

1. Cereal grains hulled
2. Chicken eggs cooked
3. Fish processed and canned
4. Newspapers containing advertising material

Which of the above items is/are exempted under GST (Goods and Services Tax)?

A. 1 only B. 2 and 3 only C. 1, 2 and 4 only D. 1, 2, 3 and 4

Controlled resolution

- [FACT] The audited ledger verifies the official question route but records that the local official key was unavailable.
- [ANALYSIS] The historically accepted resolution is **C: 1, 2 and 4**; processed/canned fish was not within the exemption combination.
- [LIMIT] This is not labelled an official UPSC key in this package. Item-specific 2018 rates are historical and must not be used as a 2026 rate list.

Verified PYQ 2 - UPSC GS-III 2019, Q1 - 10 marks, 150 words

Question: “Enumerate the indirect taxes which have been subsumed in the Goods and Services Tax (GST) in India. Also, comment on the revenue implications of the GST introduced in India since July 2017.”

Demand decoding

Part	Required response
enumerate	name Central and State levies, not generic “many taxes”
comment	gains plus transition/revenue qualifications
time frame	introduction since July 2017

Evidence-led model solution

GST subsumed major Central levies such as central excise on most goods, service tax, additional excise duties, countervailing duty and special additional customs duty, along with relevant Central cesses and surcharges on supply. At the State level it absorbed VAT/sales tax on most goods, Central Sales Tax, purchase tax, entry tax/octroi, luxury tax, and most entertainment, betting, gambling and lottery taxes.

The revenue logic was positive in design. [FACT] Article 246A created a shared tax base, Article 269A enabled destination-based IGST settlement, and invoice-linked ITC reduced cascading. [ANALYSIS] A wider common base and digital reporting could improve buoyancy and formalisation.

The transition was uneven. Rate changes, refund delays, ITC mismatches and compliance costs affected collections and working capital. Destination taxation generated adjustment concerns for producing States, which explains the five-year Compensation Act bargain. Petroleum, alcohol, electricity duty, stamp duty and basic customs duty also qualify the “single tax” claim.

GST therefore improved the architecture for long-run revenue and a common market, but its fiscal result depends on base design, compliance, refunds, economic conditions and federal trust rather than the label alone.

Why this earns marks: It enumerates both Union and State levies, connects revenue effects to ITC and IGST, and qualifies exclusions and transition costs.

How to improve / compress: Use two compact levy columns, then devote half the answer to revenue implications; omit current rate examples and close with buoyancy, compliance and federal trust.

Verified PYQ 3 - UPSC GS-III 2020, Q12 - 15 marks, 250 words

Question: “Explain the rationale behind the Goods and Services Tax (Compensation to States) Act of 2017. How has COVID-19 impacted the GST compensation fund and created new federal tensions?”

Evidence-led model solution

The Compensation to States Act, 2017 converted the political assurance behind GST into a time-bound statutory revenue guarantee. States surrendered VAT, entry tax and other independent levies and accepted a destination-based common tax. Manufacturing States feared transition losses and all States faced uncertainty over a new base and compliance system.

[FACT] The Act therefore defined a five-year transition period, adopted FY 2015-16 as the base and projected 14 per cent annual nominal growth in protected revenue. Compensation equalled the statutory gap between projected and actual revenue, financed through a compensation cess and fund. [ANALYSIS] This was the credibility price of pooled sovereignty.

COVID-19 simultaneously reduced GST/cess receipts and raised State health and welfare expenditure. The compensation requirement exceeded the available cess fund, producing disagreement over whether and how the Union should borrow. Back-to-back loans were arranged and cess collection continued beyond the compensation period for debt and interest servicing.

The tension was federal because States had lost much unilateral rate space yet remained responsible for essential services. The Union faced its own borrowing and macro-stability constraints. Delays and uncertainty weakened trust in the Council bargain.

The five-year compensation entitlement ended in June 2022; current cess servicing must not be described as an extension of that entitlement. Future reform requires transparent cess accounts, predictable settlement and a negotiated shock-sharing framework rather than ad hoc bargaining.

Why this earns marks: It explains the statutory formula, pandemic shortfall, borrowing response and competing Union-State constraints with the June 2022 boundary.

How to improve / compress: Draw the protected-revenue minus actual-revenue formula, separate fund shortfall from legal entitlement, and finish with a three-part shock-sharing reform.

Verified PYQ 4 - UPSC GS-II 2023, Q15 - 15 marks, 250 words

Question: “Explain the significance of the 101st Constitutional Amendment Act. To what extent does it reflect the accommodative spirit of federalism?”

Demand decoding

Demand	Evidence route
significance	pre-GST fragmentation; Articles 246A, 269A, 279A; common market
accommodative extent	composition, vote, compensation and dialogue
qualification	Union veto, State autonomy cost, compensation friction, <i>Mohit Minerals</i>

Evidence-led model solution

The 101st Constitutional Amendment is significant because it did not merely introduce a tax; it restructured India's fiscal Constitution. [FACT] Article 246A gives Parliament and State legislatures simultaneous GST power, while reserving inter-State supply to Parliament. Article 269A creates the IGST levy-apportionment bridge. Article 279A establishes a permanent Union-State Council. Article 366(12A) shifts the base to supply while excluding alcoholic liquor for human consumption.

The design reflects accommodative federalism in four ways. First, it pools previously separate tax fields rather than transferring them wholly to one level. Second, every State receives ministerial representation. Third, the Union has one-third and States collectively two-thirds of weighted votes, while three-fourths is required; neither side can pass alone. Fourth, the five-year Compensation Act bargain protected the transition.

Accommodation is qualified. The Union can block a proposal, States lost unilateral rate flexibility, and the end of compensation exposed revenue dependence. Exclusions and compliance burdens prevent a fully seamless market.

Union of India v. Mohit Minerals (2022) preserves the federal balance by treating Council recommendations as persuasive, not binding on legislatures, while recognising collaborative dialogue. Statutes may nevertheless condition executive notifications on Council recommendation.

Thus, the Amendment is India's boldest experiment in pooled fiscal sovereignty. Its accommodative character is strong in design but depends in practice on transparent evidence, consensus, dispute settlement and respect for State fiscal capacity.

Why this earns marks: It answers constitutional significance and degree of accommodation through Articles 246A, 269A and 279A, voting, compensation and *Mohit Minerals*.

How to improve / compress: Use a pooled-sovereignty thesis, one three-Article table, two accommodative features and two asymmetries; reserve the final line for a graded verdict.

Verified adjacent PYQ 5 - UPSC GS-II 2025, Q14 - 15 marks, 250 words

Question: "Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have the recent reforms impacted the fiscal federalism in India?"

[LIMIT] The principal owner is Centre-State Relations. GST Council material supplies one dimension and cannot replace Finance Commission, Article 282, cesses/surcharges and borrowing analysis.

Evidence-led routed model solution

Centre-State finance evolved from a mixed Finance Commission-Planning Commission system toward a more rule-based but still Union-influenced architecture. During planned development, Finance Commissions handled tax sharing and grants while the Planning Commission and centrally sponsored schemes channelled significant discretionary assistance under Article 282.

Recent reforms changed both institutions and tax bases. The Fourteenth Finance Commission enlarged untied devolution; NITI Aayog replaced the Planning Commission; and plan/non-plan classification ended. [FACT] The 101st Amendment then pooled major indirect taxes through Articles 246A, 269A and 279A. The GST Council gave States a continuing role in common tax design, and the five-year compensation law eased transition.

The impact is substantial but mixed. Formula-based devolution and the Council improved predictability and consultation. *Mohit Minerals* protected legislative autonomy by making Council recommendations persuasive. Yet cesses and surcharges narrow the divisible pool, centrally sponsored schemes retain conditions, GST reduced unilateral State rate-setting, and the June 2022 end of compensation sharpened revenue concerns. Article 293 borrowing consent and uneven State tax capacity add asymmetry.

Reform should widen transparent untied transfers, rationalise cesses and schemes, publish GST revenue modelling, operationalise Article 279A(11), strengthen State and local own revenues and coordinate debt rules.

Fiscal federalism has become more institutionalised and consultative, but not automatically more decentralised. Its quality depends on the real fiscal space behind the formal forums.

Why this earns marks: It keeps GST inside the wider devolution, grants, borrowing and scheme architecture instead of treating the Council as the whole of fiscal federalism.

How to improve / compress: Use a plan-era versus post-reform timeline, give GST one bounded paragraph, and retain Finance Commission, cesses and Article 293 for ownership balance.

ORIGINAL SOLVED MAINS PRACTICE - 8 QUESTIONS

Original Solved Mains 1 - 10 marks, 150 words

Question: Distinguish the constitutional roles of Articles 246A, 269A and 279A in India's GST architecture.

Model solution

The three provisions solve different parts of one federal tax problem.

[FACT] **Article 246A** creates legislative competence. Parliament and State legislatures possess simultaneous power over GST, while Parliament has exclusive power over inter-State supplies. It is a special constitutional field, not a normal Concurrent List entry.

[FACT] **Article 269A** creates the inter-State bridge. The Government of India levies and collects IGST, which is apportioned between Union and States under parliamentary law on Council recommendation. Imports are treated as inter-State supplies and Parliament formulates place-of-supply principles.

[FACT] **Article 279A** establishes the Union-State Council that recommends rates, exemptions, thresholds, model laws, apportionment principles and other GST matters.

[ANALYSIS] Together they connect power, revenue destination and negotiated harmonisation. [LIMIT] The Council does not enact tax statutes, and Article 269A does not give States independent inter-State legislative power.

Thus, Article 246A answers **who legislates**, Article 269A **how inter-State GST is allocated**, and Article 279A **how common design is negotiated**.

Why this earns marks: It distinguishes special shared competence from ordinary concurrency and identifies Parliament's exclusive inter-State field.

How to improve / compress: Lead with Article 246A's notwithstanding clause, compare intra-State and inter-State fields in two lines, then add Mohit Minerals only as a legislative-autonomy consequence.

Original Solved Mains 2 - 10 marks, 150 words

Question: Explain the GST Council's voting arithmetic and its federal significance.

Model solution

[FACT] Article 279A requires one-half of total members for quorum. A decision needs at least three-fourths of weighted votes of members present and voting. The Union has one-third; States collectively have two-thirds.

The arithmetic deliberately prevents unilateral passage. The Union alone has only one-third. States alone can reach only two-thirds, below three-fourths. If the Union supports a proposal, the remaining five-twelfths must come from the States; this equals five-eighths, or 62.5 per cent, of State votes present and voting.

[ANALYSIS] The system combines a Union blocking position with a compulsory State coalition. It supports harmonisation because both levels must negotiate. Consensus practice further lowers the political cost of formal division.

[LIMIT] The balance is asymmetric: the Union can block alone, while no single State has comparable weight. Abstentions also alter the State denominator.

The voting design is therefore accommodative but not perfectly equal federalism: it constitutionalises bargaining between a nationally weighted Union and collectively weighted States.

Why this earns marks: It traces IGST from levy through place of supply, credit and destination settlement without calling it a third final tax.

How to improve / compress: Use a supplier-to-destination flow, name Article 269A(5), and omit detailed statutory settlement formulae unless specifically demanded.

Original Solved Mains 3 - 15 marks, 250 words

Question: “The GST Council recommends, but legislatures and governments give legal effect.” Examine.

Model solution

The GST Council is a constitutional coordinating institution, not a super-legislature.

[FACT] Article 279A(4) authorises recommendations on subsumed taxes, taxable or exempt supplies, model laws, place of supply, thresholds and rates. Article 246A separately vests legislative power in Parliament and State legislatures. The CGST, SGST and IGST Acts therefore create the charge, liability, credit, procedure and remedies.

Delegated action forms the next layer. [FACT] CGST Act section 9 permits notified rates and specified reverse-charge categories on Council recommendation; section 11 permits public-interest exemptions on Council recommendation. The applicable rate depends on the competent Gazette notification, classification, conditions and effective date, not merely the meeting press release.

Union of India v. Mohit Minerals (2022) clarifies the relationship. Council recommendations are persuasive, not binding on primary legislatures, because Article 246A confers simultaneous legislative power. However, where a statute conditions executive rule-making or notification on Council recommendation, the executive must follow that statutory requirement.

[ANALYSIS] This layered system preserves democratic legislative authority while enabling national harmonisation. Its weakness is communication: recommendation, enactment, notification and portal implementation may occur at different times.

[LIMIT] “Non-binding” does not mean irrelevant, and “Council decided” does not by itself prove a taxpayer’s current liability.

Reform should publish a single tracker marking recommendation, instrument, effective date and implementation status.

Why this earns marks: It computes the weighted coalition requirement and evaluates both consensus incentives and Union blocking power.

How to improve / compress: Show the 1/3-2/3-3/4 arithmetic visually, distinguish quorum from vote weight, and end with one reform for reasoned consensus records.

Original Solved Mains 4 - 15 marks, 250 words

Question: Assess whether GST has strengthened cooperative federalism while weakening State fiscal autonomy.

Model solution

GST simultaneously strengthens intergovernmental cooperation and narrows unilateral State tax choice.

Cooperation strengthened. [FACT] Article 279A places every State at a ministerial table with the Union. The one-third Union, two-thirds States and three-fourths threshold prevents unilateral passage. Article 269A requires common inter-State settlement, while the five-year Compensation Act enabled States to enter a destination-based system. Shared rules reduce cascading and internal tax barriers.

Autonomy constrained. States surrendered VAT, entry tax and other levies and cannot independently redesign the common base without credit-chain and market consequences. The Union’s one-third weight gives it a blocking position. Compliance systems, rate rationalisation and the June 2022 end of compensation can deepen revenue dependence, especially for States with narrow own-tax bases.

Constitutional counterweight. [FACT] *Mohit Minerals* treats Council recommendations as persuasive, preserving State legislative power under Article 246A. States also retain alcohol, electricity-duty and specified-petroleum fields. Thus GST collectivises rather than extinguishes autonomy.

[ANALYSIS] The correct test is not whether States remain fully sovereign over rates, but whether negotiated decisions rest on transparent data, credible transitions and fair dispute resolution.

[LIMIT] Consensus can coexist with unequal fiscal leverage.

GST is cooperative in institutional design and centralising in some fiscal effects. Its federal legitimacy depends on making pooled sovereignty genuinely reciprocal.

Why this earns marks: It states Mohit Minerals precisely and preserves the separate rule that delegated notifications remain statute-bound.

How to improve / compress: Separate constitutional legislative autonomy from statutory executive conditions; attach the ocean-freight result only to the composite-supply problem.

Original Solved Mains 5 - 15 marks, 250 words

Question: Explain the compensation bargain under GST and evaluate the post-June 2022 federal challenge.

Model solution

GST compensation was the transition price of a major federal tax bargain.

[FACT] Section 18 of the 101st Amendment directed a parliamentary law for five-year compensation. The 2017 Act used FY 2015-16 as the base, projected 14 per cent annual nominal growth and compensated the statutory gap between projected and actual revenue. A compensation cess and non-lapsable fund financed payments.

[ANALYSIS] The design addressed three State concerns: surrender of VAT and entry-tax autonomy, destination-based revenue movement away from production, and uncertainty during migration to a common compliance system. It converted political assurance into a calculable legal commitment.

COVID-19 damaged both sides of the formula: collections and cess receipts fell while protected requirements and State expenditure pressure rose. Back-to-back borrowing bridged part of the shortfall and cess collection continued for debt/interest servicing.

The compensation entitlement ended in June 2022. [LIMIT] Continuing cess on specified goods is not a perpetual extension of the 14 per cent guarantee. The official 56th meeting FAQ linked transition of specified tobacco rates to complete discharge of loan and interest liabilities but gave no exact final date used here.

Post-2022 challenges include weaker trust, uneven State revenue capacity and no settled shock-sharing rule. Reform should publish cess accounts, distinguish entitlement from debt service, model State-specific transition effects and negotiate a rules-based emergency facility.

Why this earns marks: It compares alcohol, petroleum and electricity through different constitutional and statutory routes, preventing a common exclusion trap.

How to improve / compress: Use a three-row boundary table and name Article 366(12A), Article 279A(5) and Entry 53; avoid freezing commodity rates.

Original Solved Mains 6 - 20 marks, 250 words

Question: Critically analyse the constitutional and economic case for bringing the five specified petroleum products into GST.

Model solution

The Constitution postpones, rather than prohibits, GST on petroleum crude, high-speed diesel, petrol, natural gas and aviation turbine fuel. [FACT] Article 279A(5) requires a Council-recommended date; Article 246A's explanation and CGST Act section 9(2) connect levy to that date and notification.

Case for inclusion. Petroleum is a major business input. Exclusion breaks ITC chains in transport, aviation, industry and power-linked sectors, embeds tax in prices and weakens the common-market claim. IGST settlement could reduce inter-State distortions, and a harmonised base could improve transparency.

Federal and fiscal objections. State VAT on fuel is a substantial, adjustable own-revenue source; Union excise also serves fiscal and policy goals. GST inclusion could reduce rate flexibility, create compensation demands and expose revenue to Council bargaining. Fuel prices carry inflation, environmental and distributional effects, so a low uniform rate may be fiscally costly while a high rate may defeat simplification.

Design route. The Council should use product-specific modelling rather than an all-at-once slogan: publish revenue-neutral scenarios, protect existing debt/fiscal space, allow a transition band, integrate ITC gradually, and review carbon and transport effects. Natural gas or ATF may present different trade-offs from petrol and diesel.

[LIMIT] Inclusion requires a Council recommendation and legally effective instrument; it is not achieved by policy speech.

Petroleum inclusion has a strong efficiency case but must be a negotiated fiscal transition. The constitutional answer is phased cooperative federalism, not permanent exclusion or abrupt uniformity.

Why this earns marks: It evaluates compensation as the credibility price of pooled sovereignty and distinguishes entitlement, cess and pandemic debt servicing.

How to improve / compress: Organise chronologically-2017 bargain, COVID shock, June 2022 boundary, loan servicing-and propose a transparent future shock-sharing rule.

Original Solved Mains 7 - 20 marks, 250 words

Question: Evaluate *Mohit Minerals* as a judgment on fiscal federalism rather than merely an ocean-freight tax case.

Model solution

Union of India v. Mohit Minerals (2022) arose from IGST on ocean freight in CIF imports, but its constitutional significance lies in defining authority inside the GST compact.

[FACT] The Supreme Court held Council recommendations non-binding on Union and State legislatures and persuasive within collaborative dialogue. Article 246A grants simultaneous power; it is not made subject to Article 279A. Treating Council recommendations as binding edicts would subordinate legislatures and disturb fiscal federalism.

The judgment nevertheless preserves coordination. Where CGST/IGST statutes condition delegated notification or rule-making on Council recommendation, the executive is bound by that statutory requirement. The Court also did not invalidate the Council as an institution. It invalidated the ocean-freight levy because the separate service charge conflicted with the statutory composite-supply framework in which IGST had already captured freight within import value.

[ANALYSIS] The ruling shifts GST from hierarchical uniformity to negotiated harmonisation. States retain constitutional voice and may contest, while credit chains and market costs create incentives to agree. This recognises Indian federalism as cooperation plus possible contestation.

[LIMIT] The decision can generate divergence if political dialogue fails, and it does not answer every notification dispute. Nor does it make Council expertise dispensable.

The best institutional response is reasoned recommendations, transparent impact data and an operational Article 279A(11) mechanism. *Mohit Minerals* strengthens the Council by grounding its legitimacy in persuasion and law, not command.

Why this earns marks: It evaluates common-market gains, autonomy costs, administrative asymmetry and institutional reforms rather than offering one-sided cooperative-federalism praise.

How to improve / compress: Group gains and costs under tax base, voice, revenue and compliance; use one current official recommendation only after labelling its legal status.

Original Solved Mains 8 - 20 marks, 250 words

Question: Suggest an accountability and reform framework that can make the GST Council a more durable institution of fiscal federalism.

Model solution

The Council's durability depends on whether States and taxpayers can trace a recommendation from evidence to legal effect and fiscal outcome.

First, improve deliberative transparency. Publish agendas where feasible, fuller minutes, dissent, revenue assumptions and reasons. A notification tracker should separately mark Council recommendation, statutory authority, Gazette instrument, effective date and portal implementation.

Second, strengthen evidence. An independent technical unit should publish distributional, State-revenue, inflation, ITC and compliance modelling with assumptions and error bands. [LIMIT] It should advise, not acquire rate-setting power.

Third, operationalise Article 279A(11). A neutral intergovernmental panel needs defined jurisdiction, timelines, reasoned decisions and a clear relationship with Article 131 and judicial review. It must remain separate from taxpayer

appeals and GSTAT.

Fourth, rebuild transition trust. Publish compensation-cess and loan-servicing accounts, avoid implying a permanent 14 per cent guarantee, and design a rules-based shock facility for future nationwide disruptions.

Fifth, simplify without fiscal blindness. Use a stable review calendar, reduce inversions and classification disputes, support small firms and assess State/local-government revenue effects before changes.

Sixth, protect federal reciprocity. Preserve consensus where possible, record formal votes when needed and disclose implementation delays by both levels.

[FACT] Articles 246A, 269A and 279A already supply competence, settlement and negotiation; *Mohit Minerals* protects legislative autonomy. [ANALYSIS] Reform should therefore improve legitimacy and execution, not replace legislatures with technocracy.

The goal is transparent pooled sovereignty: common rules produced by evidence, reciprocal accommodation and enforceable legal instruments.

Why this earns marks: It diagnoses the missing Article 279A(11) mechanism and proposes jurisdiction, composition, procedure and review safeguards.

How to improve / compress: Define covered intergovernmental disputes first, expressly exclude taxpayer appeals/GSTAT, and present an implementable neutral-panel design with judicial review.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

GST Council (Article 279A) - ADVANCED / COMPLETE

Subject: Polity · **Tier:** Advanced (exam depth) · **GS Paper:** GS-II / GS-III **Grounded in:** Indian Polity by M. Laxmikant, Ch. 46 (direct check of the local Sixth Revised Edition PDF) + official GST Council update. **FACT:** = from source book · **ANALYSIS:** = inference / case law · **CURRENT:** = current affairs. *Companion:* basic/GST-Council.md.

PART A - ESTABLISHMENT □

FACT: The **101st Amendment Act, 2016** introduced **GST** and inserted **Article 279-A**, empowering the **President** to constitute the **GST Council** by order (issued **15 Sept 2016**).

- **FACT:** A **constitutional federal recommendatory forum** central to GST design - a model of cooperative federalism. Its recommendations require legal implementation and are not independently binding commands.

- **FACT:** Secretariat at **New Delhi**; the **Union Revenue Secretary** is the **ex-officio Secretary**; the ****CBIC/CBEC chairperson is a permanent invitee (non-voting)****.

PART B - COMPOSITION □

Member	Role
FACT: Union Finance Minister	Chairperson
FACT: Union MoS (Revenue/Finance)	Member
FACT: State Minister (Finance/Taxation or nominated) from each state	Members

FACT: The **state members choose one among themselves as Vice-Chairperson** (and decide his term).

PART C - WORKING (voting maths) □□

Rule	Value
FACT: Quorum	1/2 of total members
FACT: Decision majority	≥ 3/4 of weighted votes of members present & voting
FACT: Centre's weight	1/3 of votes cast
FACT: All states combined	2/3 of votes cast

□ **Design insight:** the Centre alone (1/3) can **block** any resolution (needs 3/4 to pass), but **cannot pass** anything without states - a deliberate federal balance. Acts are **not invalidated** by vacancies, defects in appointment, or non-material procedural irregularities.

PART D - FUNCTIONS FACT:

Recommends to Centre & states on: taxes/cesses/surcharges **subsumed** in GST; goods/services **taxed or exempt**; **model GST laws, place-of-supply** principles; **threshold turnover** for exemption; **rates (incl. floor rates with bands)**; special disaster rates; special provisions for **NE & hill/special-category states**.

- FACT: Recommends **the date** to bring **petroleum crude, diesel, petrol, natural gas, ATF** under GST (currently outside GST).
- FACT: Must set up a **dispute-resolution mechanism** (Centre-state / state-state).
- FACT: Recommended **compensation to states** for revenue loss for **5 years** (GST Compensation Act, 2017).

PART E - CURRENT: CURRENT DEVELOPMENTS □

- CURRENT: **GST 2.0 (56th GST Council, effective 22 Sept 2025)**: the old four-slab structure (5/12/18/28%) was recommended a broad **5% merit rate and 18% standard rate**, plus a special **40% de-merit rate** (tobacco, pan masala, aerated drinks, luxury vehicles). Individual health and life insurance exemptions were recommended. Applicable liability requires the relevant Gazette notification; do not treat the press release as self-executing law.

- CURRENT: ANALYSIS: **Mohit Minerals case (SC, 2022)**: GST Council recommendations are **only persuasive, NOT binding** on the

Centre or states (both have simultaneous power to tax) - a landmark on **fiscal federalism** and states' autonomy.

- CURRENT: ANALYSIS: **End of GST compensation (June 2022)** & states' demand for extension; **compensation cess** now servicing loans / repurposed.

UPSC Traps

- WRONG: GST Council decisions need a simple majority -> **3/4 of weighted votes**.
- WRONG: Centre's vote weight is 1/2 -> **1/3** (all states together = 2/3).
- WRONG: GST Council recommendations are binding -> **only recommendatory/persuasive** (Mohit Minerals, 2022).
- WRONG: Petrol & diesel are already under GST -> **outside GST** until the Council fixes a date.
- WRONG: GST Council is a statutory body -> it is a **constitutional body** (Art 279-A).
- WRONG: The PM chairs the GST Council -> the **Union Finance Minister**.
- WRONG: Quorum is 1/3 -> 1/2 of members (the 1/3 refers to the Centre's *vote weight*).

CURRENT: CA hooks

- CURRENT: **GST 2.0** two-slab rationalisation - consumption boost vs revenue implication (~Rs 48,000 cr).
- CURRENT: GST on **petroleum products** - long-pending inclusion debate.
- CURRENT: **Cooperative vs "coercive" federalism** - states' voice in the Council post-compensation.

Mains angles

- "The GST Council is a laboratory of cooperative federalism." Examine, using the voting design and Mohit Minerals.
- Should petroleum products be brought under GST? Analyse the fiscal-federal trade-offs.
- GST 2.0 rate rationalisation: simplification vs revenue autonomy of states.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS1-GS2-ESSAY-2018-2023.md.

- **Years represented:** 2023
- **Paper(s):** GS-II
- **Routed question demands:** 1

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2023	GS-II	15	101st Constitutional Amendment Act and accommodative federalism	Explain the significance · 15 marks · 250 words	Routed to owning topic; word limit taken from the instruction block	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- 101st Constitutional Amendment Act and accommodative federalism

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

CONSOLIDATED REGISTER NOTES

Constitutional compact in one view

- [FACT] The 101st Amendment created a supply-based, dual GST through constitutional redistribution and sharing of tax power.
- [FACT] Article 246A = legislative competence; Article 269A = inter-State levy/apportionment; Article 279A = Union-State recommendation forum.
- [FACT] Article 366(12A) excludes alcoholic liquor for human consumption from the GST definition.
- [FACT] Article 279A is included in the Article 368 State-ratification proviso, underlining its federal character.
- [LIMIT] GST is not one Union tax and the Council is not a legislature.

Visual 52 - Three-article rapid spine

246A = POWER
269A = INTER-STATE FLOW
279A = NEGOTIATED DESIGN

Pre-GST problem and tax logic

- [FACT] Fragmented taxable events included manufacture, service, sale and entry.
- [ANALYSIS] Broken cross-credit caused cascading and internal-market friction.
- [FACT] GST uses invoice-linked ITC and destination logic.
- [LIMIT] ITC is conditional; exemptions, blocked credit, mismatch and inversion interrupt the ideal chain.

Exact Council design

- [FACT] Chair: Union Finance Minister.
- [FACT] Union member: Union MoS in charge of Revenue or Finance.
- [FACT] State member: Finance/Taxation Minister or another Minister nominated by each State Government.
- [FACT] State members choose one among themselves as Vice-Chair for a period they decide.
- [LIMIT] Revenue Secretary, CBIC Chair and Secretariat are administrative support, not extra constitutional voting members.

Visual 53 - Membership and support distinction

Constitutional voter/member	Administrative support
Union FM	Revenue Secretary, ex-officio Secretary
Union MoS Revenue/Finance	CBIC Chair, non-voting invitee
one nominated State minister each	Secretariat officers from Union/States

Recommendation domains

- [FACT] subsumed taxes/cesses/surcharges;
- [FACT] taxable or exempt goods/services;
- [FACT] model laws, levy, Article 269A apportionment and place of supply;
- [FACT] exemption threshold;
- [FACT] rates including floor rates with bands;
- [FACT] specified-period disaster rates;
- [FACT] special provisions for named States;
- [FACT] other GST matters;
- [FACT] separate date recommendation for crude, HSD, petrol, natural gas and ATF.

Voting mathematics

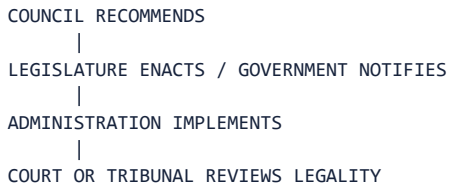
Visual 54 - Four-number memory board

Number	Meaning
1/2	quorum of total members
1/3	Union weight
2/3	States' collective weight
3/4	passing threshold

- [ANALYSIS] Union alone cannot pass; States alone cannot pass.
- [ANALYSIS] Union can block because States max out at two-thirds.
- [ANALYSIS] With Union support, five-eighths of State votes present and voting are needed.
- [LIMIT] Consensus practice and formal voting rule must be distinguished.

Recommendation-to-law chain

Visual 55 - Legal effect recall



- [FACT] CGST section 9 links rate and specified notification powers to Council recommendation.
- [FACT] Section 11 links exemptions to Council recommendation.
- [LIMIT] Press release != rate notification.
- [CURRENT] The 56th meeting is the latest official meeting release located; commodity-wise current rates are intentionally not frozen.

Tax-mechanics distinctions

Confusion	Correct recall
intra-State	CGST + SGST/UTGST
inter-State	IGST and settlement
exempt	no output tax; credit may be restricted/reversed
nil-rated	zero tariff rate within exempt framework
zero-rated	exports/qualifying SEZ supplies with credit/refund route
inverted duty	input rate exceeds output rate
alcohol	constitutional GST-definition exclusion
petroleum	deferred date mechanism
electricity	retained State entry plus notification treatment

Compensation compact

- [FACT] five-year transition period ending June 2022.
- [FACT] FY 2015-16 base and 14 per cent projected nominal growth.
- [FACT] compensation = statutory projected-actual revenue gap.
- [FACT] cess/fund financed transition; COVID produced shortfall and borrowing.
- [CURRENT] specified cess treatment continues pending entire loan and interest discharge under the latest located official FAQ.
- [LIMIT] no exact cessation date; cess servicing is not a permanent compensation guarantee.

Mohit Minerals doctrine

Visual 56 - Case recall

Proposition	Status
Council recommendations bind primary legislatures	false
recommendations have persuasive value	true
Article 246A preserves simultaneous power	true
executive may ignore statutory recommendation condition	false

Proposition	Status
Council became irrelevant	false
ocean-freight levy conflicted with composite-supply scheme	true

- [ANALYSIS] The judgment protects fiscal federalism through collaborative dialogue rather than hierarchy.
- [LIMIT] It must not be stretched into a claim that every Council-linked notification is invalid.

Federal debate bank

- [ANALYSIS] **Cooperative:** common rules, Council dialogue, IGST settlement.
- [ANALYSIS] **Competitive:** administrative innovation and compliance performance.
- [ANALYSIS] **Confrontational:** compensation, petroleum, rates and legal divergence.
- [ANALYSIS] **Autonomy cost:** reduced unilateral State rate-setting.
- [ANALYSIS] **Autonomy protection:** State vote, retained tax fields and *Mohit Minerals*.
- [LIMIT] Consensus may conceal unequal revenue dependence.

Institutional comparison recall

Body	One-line function
GST Council	coordinates GST design
Finance Commission	recommends devolution and grants
Inter-State Council	broad intergovernmental advice
Zonal Councils	statutory regional coordination
courts/tribunals	decide legality and statutory disputes

Disputes and reforms

- [FACT] Article 279A(11) mandates an intergovernmental adjudicatory mechanism.
- [LIMIT] No complete official public mechanism was verified by the control date; do not substitute GSTAT.
- [ANALYSIS] Priority reforms: fuller reasons/minutes, independent modelling, operational clause (11), stable rate calendar, notification tracker, post-compensation shock framework, local-government impact review and small-business simplification.
- [LIMIT] These are proposals, not current law.

PYQ routes and answer theses

- **2019 GS-III:** enumerate subsumed taxes, then assess revenue through ITC, destination, compliance and exclusions.
- **2020 GS-III:** compensation formula -> COVID shortfall -> borrowing -> federal trust.
- **2023 GS-II direct:** pooled sovereignty -> vote design -> compensation -> *Mohit Minerals* -> qualified accommodative verdict.
- **2025 GS-II adjacent:** GST belongs inside wider Finance Commission, cesses, schemes and borrowing analysis.

Final 12 rapid-recall facts

1. 101st Amendment, 2016; GST launch from July 2017.
2. Article 246A is special shared competence, not Concurrent List.
3. Parliament is exclusive for inter-State GST legislation.
4. Article 269A is the IGST/apportionment bridge.
5. Article 279A creates the Council.
6. Chair = Union Finance Minister.
7. Quorum = one-half.
8. Vote = Union one-third, States two-thirds, threshold three-fourths.
9. With Union support, five-eighths of State votes are needed.
10. Recommendations are persuasive for legislatures after *Mohit Minerals*.
11. Statute-conditioned delegated notifications still require Council recommendation.
12. Compensation ended June 2022; cess loan servicing is a separate current issue.

Final verdict bank

- **Institutional:** The GST Council is a constitutional bargaining forum whose authority rests on structured interdependence, not legislative supremacy.
- **Federal:** GST collectivised tax sovereignty; its legitimacy depends on reciprocal accommodation and credible State fiscal space.
- **Judicial:** *Mohit Minerals* preserves harmonisation through persuasion while keeping delegated action within statute.
- **Reform:** Transparent evidence, an operational dispute mechanism and clear recommendation-to-notification tracking are the next stage of cooperative fiscal federalism.

COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM

High-yield use: Follow the panels as one topic-specific conceptual atlas: root question, classifications, processes or arguments, comparisons, objections and a final answer-writing spine. This text-native master is separate from both graphical flowchart artifacts.

ASCII MASTER FLOW - PANEL 1/12: Pre-GST fragmentation and the 101st Amendment compact

PRE-GST PROBLEM

manufacture tax + service tax + State VAT/CST + entry levies
-> broken cross-credit + cascading + border friction.

101ST AMENDMENT ACT, 2016

Article 246A -> special shared GST competence.
Article 269A -> inter-State levy, collection and apportionment.
Article 279A -> Union-State GST Council.
Article 366(12A) -> GST definition.

CONSTITUTIONAL SURGERY

omitted Article 268A + changed distribution provisions and Seventh Schedule entries.

CORE IDEA

pooled fiscal sovereignty for a destination-based common market.

LIMIT

"One Nation, One Tax" is shorthand; India operates dual GST with exclusions and variations.

ASCII MASTER FLOW - PANEL 2/12: Articles 246A, 269A and the dual-GST architecture

INTRA-STATE SUPPLY

Central law -> CGST | State/UT law -> SGST/UTGST.

INTER-STATE SUPPLY: ARTICLE 246A(2)

Parliament has exclusive GST legislative power.

ARTICLE 269A

Government of India levies and collects IGST

-> parliamentary law on place of supply and apportionment

-> settlement between Union and destination State.

IMPORT

deemed inter-State supply for GST architecture.

ARTICLE 286

limits State taxation of supplies outside the State or in import/export course.

TRAP

IGST is not a third destination government's tax; it is the settlement bridge for an integrated dual-GST system.

ASCII MASTER FLOW - PANEL 3/12: IGST, place of supply and destination settlement

INTER-STATE SUPPLY

Parliament has exclusive GST competence under Article 246A(2).

ARTICLE 269A

Government of India levies and collects IGST

-> Parliament provides apportionment by law on Council recommendation.

PLACE OF SUPPLY

Parliament formulates principles under Article 269A(5).

CREDIT-SETTLEMENT BRIDGE

supplier State -> IGST collection/credit -> destination State revenue.

IMPORTS

deemed inter-State supplies.

TRAP

IGST coordinates dual GST; it is not a third level's final tax.

ASCII MASTER FLOW - PANEL 4/12: Article 279A composition and institutional support

COMPOSITION

Union Finance Minister -> Chairperson.

Union Minister of State for Revenue/Finance.

State finance/taxation ministers or nominated ministers.

State members choose a Vice-Chairperson.

ASCII MASTER FLOW - PANEL 5/12: Quorum, voting weights and coalition arithmetic

QUORUM

one-half of total membership.

WEIGHTED VOTE

Union = one-third | States together = two-thirds.

Decision = at least three-fourths of weighted votes present and voting.

ARITHMETIC

Union alone cannot pass; States alone cannot pass.

Union can block because States reach only two-thirds without it.

With Union support, at least five-eighths of State weight is needed.

PRACTICE

consensus is preferred, but does not repeal the formal voting rule.

ASCII MASTER FLOW - PANEL 6/12: Council functions and recommendation-to-law chain

INSTITUTIONAL SUPPORT

GST Council Secretariat -> agenda, records, coordination and implementation follow-up.

PROCEDURE

proposal -> committee/officer analysis -> agenda note -> meeting

-> consensus or weighted vote -> minutes/recommendation -> legal instrument.

LEGAL-EFFECT CHAIN

constitutional recommendation

-> Parliament/State legislature enacts or amends statute

or authorised executive issues rule/notification

-> taxpayer obligation.

RECOMMENDATION FIELDS

subsumed taxes | taxable/exempt supplies | model laws | place of supply

| thresholds | rates/bands | disaster rate | petroleum date | special provisions.

LEGAL-EFFECT RULE

recommendation -> statute/rule/notification -> effective date -> liability.

ASCII MASTER FLOW - PANEL 7/12: Alcohol, petroleum, electricity and tax-base boundaries

ALCOHOLIC LIQUOR FOR HUMAN CONSUMPTION

excluded from Article 366(12A) GST definition.

FIVE PETROLEUM PRODUCTS

GST levy begins from a date recommended under Article 279A(5);

until then, retained excise/VAT fields continue.

TOBACCO

within GST while retained Union excise competence also exists.

ELECTRICITY

not excluded by the GST definition like alcohol;

electricity duty remains under Entry 53 and supply treatment needs exact law.

RATE / EXEMPTION / THRESHOLD

Council recommendation -> competent notification or legislation.

INPUT-TAX CREDIT

reduces cascading where statutory eligibility and compliance conditions are met.

TRAP

do not convert a press release into a self-executing tax rate.

ASCII MASTER FLOW - PANEL 8/12: Compensation bargain, pandemic loans and June 2022 boundary

COMPENSATION ACT, 2017

base year 2015-16 -> projected annual revenue growth 14%
-> protected revenue minus actual revenue -> compensation gap.

FUNDING

compensation cess on specified supplies -> Compensation Fund.

TRANSITION

five years from GST introduction -> entitlement ended in June 2022.

PANDEMIC SHOCK

revenue/cess shortfall -> back-to-back borrowing arrangement
-> cess continued for servicing principal and interest.

CURRENT CONTROL: 24 AUGUST 2026

later cess collection for loan servicing != renewed five-year compensation entitlement.

REFORM LESSON

future shocks need transparent accounts, predictable settlement and negotiated burden sharing.

ASCII MASTER FLOW - PANEL 9/12: Mohit Minerals (2022): persuasion and statute-bound delegated action

Mohit Minerals (2022)

CONSTITUTIONAL HOLDING

Article 279A recommendations are persuasive and carry cooperative value;
they are not binding commands on Parliament or State legislatures.

WHY

Article 246A gives simultaneous legislative power
and Indian federalism works through dialogue, not Council hierarchy.

STATUTORY QUALIFICATION

where GST legislation conditions delegated rules or notifications
on Council recommendation, the executive must obey that statute.

CASE RESULT

ocean-freight levy failed within the statutory composite-supply framework.

TRAP

non-binding recommendation != irrelevant Council
and it does not authorise executive action contrary to enacted GST law.

ASCII MASTER FLOW - PANEL 10/12: Article 279A(11), accountability and dispute design

ARTICLE 279A(11)

Council shall establish a mechanism for specified disputes:
Union v State(s) | Union + State(s) v other State(s) | State v State,
arising from recommendations or implementation.

CURRENT CONTROL: 28 AUGUST 2026

no complete publicly verified adjudicatory mechanism is asserted operational.

DO NOT CONFUSE

GSTAT/taxpayer appeal != constitutional intergovernmental mechanism.

DESIGN TEST

neutral panel + jurisdiction + hearing + reasons + time limit + review.

ASCII MASTER FLOW - PANEL 11/12: Federal gains, autonomy costs and institutional comparisons

GST COUNCIL

continuous bargaining over a pooled indirect-tax base.

FINANCE COMMISSION

periodic Article 280 recommendation on divisible taxes and grants.

FEDERAL GAINS

common market + destination settlement + shared rule forum + coordinated compliance.

FEDERAL COSTS

reduced unilateral State rate space + Union veto capacity
| compensation trust deficit | unequal administrative capacity.

TECHNOLOGY CHAIN

registration -> invoice/reporting -> credit matching -> return/payment
-> analytics -> audit/appeal.

CAUTION

digital trace improves verification but can create exclusion, mismatch and refund burdens.

REFORM

publish revenue models + reasoned minutes + stable rate design
-> operational dispute mechanism + stronger State capacity.

ASCII MASTER FLOW - PANEL 12/12: Current controls, PYQ routes and answer spine

DATED ANCHORS

56th Council meeting release: 3 September 2025.
April 2026 Secretariat newsletter: notification-on-recommendation example.
No commodity-wise current rate list is frozen.

PRELIMS FIREWALL

quorum one-half | Union one-third | States two-thirds
| decision threshold three-fourths weighted
| alcohol excluded | petroleum deferred | electricity separately treated
| recommendation != legislation | compensation entitlement ended June 2022.

PYQ ROUTES

2018 exemption mechanics | 2019 subsumed taxes | 2020 compensation
| 2023 101st Amendment/federalism | 2025 fiscal-federalism adjacency.

MAINS SPINE

pre-GST defect -> three-Article architecture -> Council bargain
-> legal-effect limit -> federal gain/cost -> dated anchor
-> transparent, predictable and cooperative reform verdict.